AVANTEL LIMITED

CIN: L72200AP1990PLC011334
Regd Off: Sy No.141, Plot No.47/P, APIIC Industrial Park,
Gambheeram(V), Anandapuram (M), Vishakhapatnam AP 531163
Email: info@avantel.in, website: www.avantel.in

POSTAL BALLOT AND E-VOTING NOTICE

AVANTEL LIMITED

CIN: L72200AP1990PLC011334

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POSTAL BALLOT AND E-VOTING NOTICE

Notice pursuant to Section 108 and 110 of the Companies Act, 2013 read with Rule 20 and Rule 22 of The Companies (Management and Administration) Rules, 2014, as amended and SEBI Circular No. CIR/CFD/CMD/16/2015, dated November 30, 2015

Sub: Passing of Resolution for approval of the "Scheme of Amalgamation between Avantel Limited and Wiki Kids Limited and their respective Shareholders and Creditors" by Postal Ballot and E-voting

Dear Member(s),

Notice is hereby given that pursuant to Section 108 and 110 of the Companies Act, 2013, read with rule 20 and 22 of Companies (Management and Administration) Rules, 2014, as amended and SEBI Circular No. CIR/CFD/CMD/16/2015, dated 30th November, 2015, your Company is providing the facility of Postal Ballot and E-voting in addition to holding of Court Convened Meeting to enable the Shareholders to cast their vote either through Postal Ballot or E-voting or through poll at the Court Convened Meeting or E-voting, for considering and, if thought fit, for passing the Resolution set out below in relation to approval of the proposed Scheme of Amalgamation between Avantel Limited (Transferee Company) and Wiki Kids Limited (Transferor Company) and their respective shareholders and creditors.

Please note that by an order made on 13th Day of December, 2016, the Hon'ble High Court of Judicature at Hyderabad for the State of Telangana and the State of Andhra Pradesh has directed that a meeting of the Equity Shareholders of Avantel Limited to be convened and held at the registered office of the Company situated at Sy No. 141, Plot No. 47/P, APIIC Industrial Park, Gambheeram (V), Anandapuram (M), Vishakhapatnam - 531163, Andhra Pradesh, on Friday, 27th day of January, 2017, at 11.00 A.M., for the purpose of considering, and if thought fit, approving with or without modification(s), the proposed Scheme of Amalgamation of Wiki Kids Limited (Transferor Company) into Avantel Limited (Transferee company) and their respective Shareholders and Creditors.

Also note that in terms of clause 9 of Annexure I to the Securities and Exchange Board of India **('SEBI')** Circular No. CIR/CFD/CMD/16/2015 dated, November 30, 2015 **('SEBI Circular')** listed companies are required to take the approval of shareholders to the Scheme through Postal Ballot and E-voting.

This Postal Ballot and E-voting notice is given accordingly in terms of the aforesaid SEBI Circular, besides convening the Court Convened Meeting, for obtaining the approval of the Shareholders to the proposed Scheme of Amalgamation by passing the resolutions enumerated herein by way of Postal Ballot or E-voting pursuant to Section 108 and 110 and other applicable provisions, if any, of the Companies Act, 2013.

The Postal Ballot Form along with the instructions for voting are also enclosed herewith. You are requested to read the instructions carefully printed on the Postal Ballot Form and return the Postal Ballot Form duly completed in the enclosed self-addressed, postage pre-paid envelope so as to reach the Scrutinizer appointed for carrying out the Postal Ballot and E-voting process on or before the close of working hours i.e. 05:00 PM on 26.01.2017. Any Postal Ballot Forms received after this date will be considered as invalid.

E-voting Option

Pursuant to Section 108 of the Companies Act, 2013 read with Rule 20 of The Companies (Management and Administration) Rules, 2014, as amended, we are pleased to offer E-voting facility, as an alternate for Postal Ballot, to our members, which would enable them to cast their votes electronically, instead of posting physical postal ballot form. For this purpose, the Company has entered into an agreement with M/s. Karvy Computershare Pvt. Ltd **('Karvy')** for facilitating E-voting to the shareholders of the Company in order to enable them to cast their votes electronically instead of dispatching the postal ballot form. Instructions for voting electronically are printed in this Notice.

The Scrutinizer shall submit his report to the Chairman of the Company upon completion of scrutiny, in a fair and transparent manner, of voting through E-voting platform and through Postal Ballots not later than 2 days from 26.01.2017. The Chairman shall announce the results of E-voting and Postal Ballot on or before 28.01.2017.

The result of the Postal Ballot & E-voting will also be displayed on the notice board at Registered Office of the Company and shall also be posted on the Company's website **www.avantel.in** besides communicating the same to the BSE Limited.

Item of business requiring approval of shareholders through Postal Ballot and E-voting as Ordinary Resolution:

ITEM NO. 1

APPROVAL OF SCHEME OF AMALGAMATION

To consider and if thought fit to pass, with or without modification(s) the following resolution as an **Ordinary Resolution:**

"RESOLVED THAT pursuant to the provisions of Section 230 to 232 of the Companies Act, 2013 (corresponding sections to sections 391 to 394 of the Companies Act, 1956) and other applicable provisions, if any, of the Companies Act, 2013, and of the Companies Act, 1956, including any statutory modifications, amendments, re-enactments thereof for the time being in force, applicable Regulations of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirement) Regulations, 2015 **[SEBI (LODR) Regulations],** the provisions of SEBI Circular No. CIR/CFD/CMD/16/2015, dated 30th November, 2015, relevant rules of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, the provisions of the Memorandum and Articles of Association of the Company and subject to the requisite approvals, sanctions, consents, observations, no objections, confirmations, permissions from the National Company Law Tribunal, Hyderabad, or such other competent authority as may be applicable, and the confirmation, permission, sanction and approval of the other statutory/regulatory authorities, if any, in this regard and subject to such other conditions or guidelines, if any, as may be prescribed or stipulated by any such authorities, from time to time, while granting such approvals, sanctions, consents, observations, no objections, confirmations, permissions and which may be agreed by the Board of Directors of the Company, the draft "Scheme of Amalgamation between Avantel Limited and Wiki Kids Limited and their respective Shareholders and Creditors" **("Scheme"),** providing for amalgamation of Wiki Kids Limited (Transferor Company) with Avantel Limited (Transferee Company) on a going concern basis with effect from 01.04.2016 (First Day of April, Two Thousand and Sixteen) being the appointed date, be and is hereby approved."

"RESOLVED FURTHER THAT the Board be and is hereby authorized, empowered and directed to do all such acts, deeds, matters and things, as may be considered requisite, desirable, appropriate or necessary to give effect to aforesaid resolution and to effectively implement the arrangements embodied in the Scheme and to accept such modifications, amendments, limitations and/or conditions, if any, which may be required and/or imposed by the National Company Law Tribunal, Hyderabad, while sanctioning the amalgamation embodied in the Scheme or by any authorities under law, or as may be required for the purpose of resolving any doubts or difficulties that may arise in giving effect to the Scheme, as may be deemed fit and proper".

The Resolution provided in this notice of the Postal Ballot and E-Voting seeks your approval to the said Scheme. The Explanatory Statement under section 102 read with sections 230 to 232 and other applicable provisions of the Companies Act, 2013 and Details & Information as required under Rule 6 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, the Scheme of Amalgamation, Valuation Report, Fairness Opinion, Complaints Report and Observation Letter received from BSE Limited are forming part of this notice.

Registered Office:
Sy No.141, Plot No. 47/P, APIIC Industrial Park,
Gambheeram (V), Anandapuram (M)
Vishakhapatnam-531163, Andhra Pradesh

By Order of the Board
For Avantel Limited

Sd/-
Lokesh Agarwal
Company Secretary & Compliance Officer

Place: 17.12.2016
Date: Hyderabad

Notes:

1. Voting period for Postal Ballot shall commence from 28th day of December, 2016, 09:00 AM and shall end on 26th day of January, 2017, 05:00 PM.

2. The Explanatory Statement pursuant to section 102, 230 to 232 of the Companies Act, 2013, read with Section 110 of the Companies Act, 2013 and Companies (Management and Administration) Rules, 2014, as amended, stating all material facts, disclosure of interest, if any, and reasons there for the proposal is annexed hereto and forms part of this Notice.

3. The Notice is being sent through the Registered Post to those members who have not registered their E-mail IDs with the Company and the Depository Participants, and is also being sent electronically by e-mail to those members who have registered their e-mail IDs with their Depository Participants and with the Company, whose names appear in the Register of Members / Record of Depositories as on Friday, 16th December, 2016.

4. The Board of Directors of the Company has appointed Mr. M B Suneel (CP. No. 14449, M. No. 31197) of M/s. PS Rao & Associates, Practising Company Secretaries, Hyderabad, as the "Scrutinizer" to conduct the Postal Ballot & E-voting process in a fair and transparent manner.

5. The Postal Ballot Form together with the self-addressed postage pre-paid envelope is enclosed for the use of the members. Please read carefully the instructions printed on the enclosed Postal Ballot Form before exercising your vote and return the Form duly completed, signifying your assent or dissent, in the attached self-addressed, postage prepaid envelope, so as to reach the Scrutinizer within a period of 30 days from the date of dispatch of notice i.e. before the close of working hours (05.00 p.m.) on Thursday, the 26th day of January, 2017.

6. The Company is pleased to offer e-voting facility as an alternate, for all its members to enable them to cast their vote electronically instead of dispatching Postal Ballot Forms. In case a member desires to exercise his vote by using e-voting facility then he has to carefully follow the instructions as given for E-voting printed on the backside of the Postal Ballot Form.

7. Members irrespective of who have registered their e-mails for receipt of documents in electronic mode under the green initiative and who wish to vote through Postal Ballot Form can seek duplicate Form from Registered Office of the Company and send the same by post to the Registered Office of the Company addressed to the Scrutinizer.

8. Members are informed that in case of joint holders the Notice will be sent only to such joint holder whose name stands first in the Register of Members of the Company.

9. Members holding shares in the same name under different Ledger Folios are requested to apply for consolidation of such Folios and send the relevant share certificates to the Share Transfer Agent.

10. The soft copy of the Postal Ballot & E-voting Notice and the Ballot Paper is also available at the website of the Company i.e. http://www.avantel.in/amalgamation.php.

11. In accordance with Para I (A) (8) of the Annexure I to the Circular No. CIR/CFD/CMD/16/2015, dated 30th November, 2015, issued by SEBI, the Observation Letter of the Stock Exchange, Pre and Post Scheme (expected) Capital structure & Shareholding Pattern, the Valuation report, fairness Opinion issued by the Merchant Banker and Complaints Report are forming part of this notice. All these documents are also available at the website of the Company, http://www.avantel.in/ amalgamation.php.

12. Members may contact Mr. Lokesh Agarwal, Company Secretary (email: lokeshagarwal@avantel.in, M: 9700884008), for any grievances connected with voting by postal ballot including voting by electronic means at the Registered Office of the Company at Sy No.141, Plot No.47/P, APIIC Industrial Park, Gambheeram (V), Anandapuram (M), Vishakhapatnam - 531163, Andhra Pradesh.

13. All relevant documents referred to in the accompanying Explanatory Statement are open for inspection at the registered office of the Company on all working days (except on Sundays and Public holidays) between 09:00 A.M. to 5:00 P.M. up to January 26, 2017, (i.e. the last date for receiving of Postal Ballots).

14. Pursuant to Section 108 and 110 of the Companies Act, 2013, read with Rule 20 and 22 of the Companies (Management and Administration) Rules, 2014, as amended from time to time and Regulation 44 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the Company will be offering e-voting facility to the members to cast their votes (for or against) electronically on business set forth in this Notice.

15. The Company has appointed M/s. Karvy Computershare Private Limited to provide the E-voting facility to the shareholders of the Company to vote electronically. Please read carefully the E-Voting Instructions for casting your vote electronically.

16. Mr. M B Suneel of M/s. P S Rao & Associates, Practising Company Secretaries, Hyderabad has been appointed by the Board as Scrutinizer for the purpose of ascertaining the requisite majority for the business set out in the notice in a fair and transparent manner.

17. The voting rights of members shall be in proportion to their shareholding in the paid up equity share capital of the Company as on 16th day of December, 2016, being the cut-off date.

18. The members of the Company, holding shares either in physical form or in dematerialized form, as on 16th day of December, 2016, being the cut-off date, may cast their vote (for or against) electronically during 28.12.2016, 09:00 AM to 26.01.20174, 05:00 PM.

19. In addition to the providing of Postal Ballot and E-voting facility, the Company is convening a physical Court Convened Meeting of the shareholders of the Company on 27th Day of January, 2017, at 11:00 AM at the registered office of the Company situated at Sy No.141, Plot No.47/P, APIIC Industrial Park, Gambheeram (V), Anandapuram (M), Vishakhapatnam - 531163, Andhra Pradesh for obtaining their approval to the proposed Scheme of Amalgamation, pursuant to the Order, dated 13.12.2016, of the Hon'ble High Court at Hyderabad.

20. The members who have cast their vote either through Postal Ballot or E-voting facility prior to the said Court Convened Meeting may also attend the meeting but shall not be entitled to cast their vote again.

21. Kindly note that each member can opt for only one mode for voting i.e. either by Postal Ballot or by E-voting or through poll at the Court Convened Meeting. If you opt for E-voting, then please do not vote by Postal Ballot or by poll at the Court Convened Meeting and vice versa. In case Member do cast their vote, by more than one mode of voting, then first mode of voting done through any of the aforesaid modes shall prevail and voting by other modes shall be treated as invalid.

22. The facility for voting through poll shall be made available at the Court Convened Meeting and the members attending the Court Convened Meeting who have not already cast their vote electronically through e-voting or through Postal Ballot shall be able to exercise their voting right at the Court Convened Meeting.

23. E-Voting Instructionsfor shareholders for voting electronically:

    (A) The Company is providing facility for voting by electronic means and the business as set out in the Notice may be transacted through electronic voting system. Pursuant to the provisions of Section 108 of the Companies Act, 2013, read with the Companies (Management and Administration) Rules, 2014 and Sub-regulation (1) of Regulation 44 of SEBI (LODR) Regulations, 2015 and in terms of clause 9 of Annexure I to the Securities and Exchange Board of India ('SEBI') Circular

No. CIR/CFD/CMD/16/2015 dated, November 30, 2015, the Company is pleased to offer e-voting facility as an alternate to its members to cast their votes electronically on the resolution set forth in the Notice of postal Ballot and E-voting. The Company has engaged the services of M/s. Karvy Computershare Pvt. Ltd, to provide the e-voting facility.

(B) The Members whose names appear in the Register of Members / List of Beneficial Owners as on 16th day of December, 2016 (cut-off date), are entitled to vote on the resolution set forth in this Notice.

(C) The e-voting period will commence on 28th day of December, 2016 (9:00 AM) and will end on 26th day of January, 2017 (05:00 PM). During this period, shareholders of the Company holding shares either in physical form or in dematerialized form, as on the cut-off date may cast their vote electronically. The e-voting module shall be disabled by M/s. Karvy Computershare Pvt. Ltd for voting thereafter. Members will not be able to cast their votes electronically beyond the date & time mentioned above.

(D) The Company has appointed Mr. MB. Suneel, Practising Company Secretary, to act as Scrutinizer to conduct and scrutinize the electronic voting and postal ballot voting process in a fair and transparent manner. The members desiring to vote through electronic mode may refer to the detailed procedure on e-voting given hereunder.

PROCEDURE & INSTRUCTIONS FOR E-VOTING

Instructions and other information relating to remote e-voting are as under:

1. Please take note of the below:

(A) In case a Member receiving an email from Karvy [for Members whose email IDs are registered with the Company/Depository Participant(s)]:

i) Launch internet browser by typing the URL:https://evoting.karvy.com.

ii) Enter the login credentials (i.e. User ID and Password as mentioned in the Covering Letter). Your Folio No. / DP ID-Client ID will be your User ID. However, if you are already registered with Karvy for e-voting, you can use your existing User ID and password for casting your vote.

iii) After entering these details appropriately, click ok “LOGIN”.

iv) You will now reach password change Menu wherein you are required to mandatorily change your password. The new password shall comprise minimum 8 characters with at least one upper case (A-Z), one lower case (A-Z), one numeric value (0-9) and a special character(@,#,$, etc.). The system will prompt you to change your password and update your contact details like mobile number, email ID, etc. on first login. You may also enter a secret question and answer of your choice to retrieve your password in case you forget it. It is strongly recommended that you do not share your password with any other person and that you take utmost care to keep your password confidential.

v) You need to login again with the new credentials.

vi) On successful login, the system will prompt you to select the “EVENT” i.e., Avantel Limited.

vii) On the voting page, enter the number of shares (which represents the number of votes) as on the Cut-off date under “FOR/AGAINST” or alternatively, you may partially enter any numbering “FOR” and partially in “AGAINST” but the total number in “FOR/AGAINST” taken together should not exceed your total shareholding as mentioned in the Covering Letter. You may also choose the option “ABSTAIN”. If the shareholder does not indicate either “FOR” or “AGAINST” it will be treated as “ABSTAIN” and the shares held will not be counted under either head.

viii) Shareholders holding multiple folios/demat accounts shall choose the voting process separately for each folios/demat accounts.

ix) In case you do not desire to cast your vote, it will be treated as abstained.

x) You may then cast your vote by selecting an appropriate option and click on “Submit”.

xi) A confirmation box will be displayed. Click “OK” to confirm else “CANCEL” to modify. Once you confirm, you will not be allowed to modify your vote. During the voting period, Members can login any number of times till they have voted on all the Resolution(s).

xii) Corporate/ Institutional Members (i.e. other than Individuals, HUF, NRI, etc.) are also required to send scanned certified true copy (PDF Format) of the Board Resolution/Authority Letter, etc. together with attested specimen signature(s) of the duly authorized representative(s), to the Scrutinizer / Company at e-mail ID: cssunil1427@gmail.com/lokeshagarwal@avantel.in with a copy marked to evoting@karvy.com. The scanned image of the above mentioned documents should be in the naming format “Corporate Name EVENTNO.” The documents should reach the Scrutinizer and such other person on or before 26th day of January, 2017, 05:00 PM.

(B) In case of Members receiving physical copy of the Notice by Courier [for Members whose email IDs are not registered with the Company/Depository Participant(s)]:

i) User ID and initial password as provided in the Covering Letter.

ii) Please follow all steps from Sr. No. (i) to (xii) as mentioned in (A) above, to cast your vote.

2. The remote e-voting period commences on 28th day of December, 2016 (9:00 AM) and will end on 26th day of January, 2017 (05:00 PM). During this period, the Members of the Company holding shares in physical form or in dematerialized form, as on the Cut-off date, being 16th day of December, 2016, may cast their vote by electronic means in the manner and process set out herein above. The e-voting module shall be disabled for voting thereafter. Once the vote on the resolution is cast by the Member, the Member shall not be allowed to change it subsequently.

3. The members who have cast their vote by remote e-voting may also attend the Court Convened Meeting but shall not be entitled to cast their vote again.

4. The Company has engaged the services of Karvy Computershare Private Limited ("Karvy") as the Agency to provide e-voting facility to the members of the Company.

5. The Board of Directors of the Company has appointed MB. Suneel, Practising Company Secretary, to act as Scrutinizer to conduct and scrutinize the electronic voting and postal ballot voting process in a fair and transparent manner and he has communicated his willingness to be appointed as such.

6. Voting rights shall be reckoned on the paid up value of shares registered in the name of the member / beneficial owner (in case of electronic shareholding) as on the Cut-off date i.e. 16th December, 2016.

7. A person, whose name is recorded in the register of members or in the register of beneficial owners maintained by the depositories as on the Cut-off date, i.e. 16th December, 2016 only shall be entitled to avail the facility of remote e-voting and Postal Ballot.

8. The remote e-voting facility will be available during the following period: Commencement of remote e-voting: From 9:00 AM (IST) on 28th December, 2016. End of remote e-voting: Up to 05:00 PM (IST) on 26th January, 2017. The remote e-voting will not be allowed beyond the aforesaid date and time and the e-voting module shall be disabled by Karvy upon expiry of the aforesaid period.

9. The Scrutinizer shall, immediately after the conclusion of voting, count the votes by unblocking the votes cast through remote e-voting in the presence of at least two witnesses not in the employment of the Company and will make, not later than 48 hours from the conclusion of the voting, a consolidated scrutinizer's report of the total votes cast in favour or against, if any, to the Chairperson or a person authorised by him in writing who shall countersign the same. The Chairperson or a person authorised by him, upon receipt of the Scrutinizer's Report, will declare the result of voting forthwith.

10. The results declared along with the scrutinizer's report(s) will be available on the website of the Company (www.avantel.in) and on service provider's website (https://evoting.karvy.com) and will be communicated to the BSE Limited within 48 hours from the conclusion of the Voting.

Registered Office:
Sy No.141, Plot No. 47/P, APIIC Industrial Park,
Gambheeram (V), Anandapuram (M)
Vishakhapatnam-531163, Andhra Pradesh

By Order of the Board
For Avantel Limited

Sd/-
Lokesh Agarwal
Company Secretary & Compliance Officer

Place: 17.12.2016
Date: Hyderabad

EXPLANATORY STATEMENT UNDER SECTION 102 READ WITH SECTIONS 230 TO 232 AND OTHER APPLICABLE PROVISIONS OF THE COMPANIES ACT, 2013 AND DETAILS & INFORMATION AS REQUIRED UNDER RULE 6 OF THE COMPANIES (COMPROMISES, ARRANGEMENTS AND AMALGAMATIONS) RULES, 2016

1. A Scheme of Amalgamation between Avantel Limited (Transferee Company) and Wiki Kids Limited (Transferor Company) and their respective Shareholders and Creditors ("Scheme"), was proposed and the same was approved by the Board of Directors of the Transferee Company and the Board of Directors of the Transferor Company at their respective meetings held on 03.09.2016 by passing a Board Resolution. The Board of respective Companies at their respective meetings held on 17.12.2016, took note of the modifications made to the Scheme in view of the notification of sections 230 to 232 of the Companies Act, 2013 (corresponding sections to sections 391 to 394 of the Companies Act, 1956).

2. **Directors of Avantel Limited who voted in favor of the Resolution**

Sl. No.	Full Name
1.	Subramanaiya Balakrishnan
2.	Myneni Narayana Rao
3.	Yalamanchili Kishore
4.	Raghu Prasad Pidikiti
5.	Naveen Nandigam
6.	Elluru Bala Venkata Ramana Gupta

3. None of the Directors voted against the resolution. Mr. Abburi Vidyasagar and Mrs. Abburi Sarada, Directors of the Company, did not participate in the said Resolution.

4. **Directors of Wiki Kids Limited who voted in favor of the Resolution**

Sl. No.	Full Name
1.	Ramesh Kosaraju
2.	Abburi Siddhartha Sagar

5. None of the Directors voted against the resolution. Mr. Abburi Sailaja and Mrs. Abburi Sarada, Directors of the Company, did not participate in the said Resolution.

6. An application (Vide Company Application No. 1642 of 2016) was made to the Hon'ble High Court of Judicature at Hyderabad by Avantel Limited for obtaining its sanction to the Scheme of Amalgamation under section 391 to 394 of the Companies Act, 1956 (corresponding sections of section 230 to 232 of the Companies Act, 2013), on 07.12.2016.

7. The Company Application No. 1642 of 2016, was allowed by the Hon'ble High Court of Judicature at Hyderabad on the 13th day of December, 2016 and pursuant to the Order dated 13th day of December, 2016, passed by the Hon'ble Sri Justice A Ramalingeswara Rao, Company Judge, at the High Court of Judicature at Hyderabad for the State of Telangana and the State of Andhra Pradesh in the Company Application No. 1642 of 2016, filed by the Transferee Company, a meeting of the Equity Shareholders of the Avantel Limited is being convened at the registered office of the Company situated at Sy No. 141, Plot No. 47/P, APIIC Industrial Park, Gambheeram (V), Anandapuram (M), Vishakhapatnam - 531163, Andhra Pradesh, on Friday, the 27th day of January, 2017, at 11.00 A.M., for the purpose of considering, and, if thought fit, approving with or without modification(s), the Scheme of Amalgamation between Avantel Limited (Transferee Company) and Wiki Kids Limited (Transferor Company) and their respective Shareholders and Creditors.

8. Similar application (Vide Company Application No. 1641 of 2016) was made to the Hon'ble High Court of Judicature at Hyderabad by Wiki Kids Limited for obtaining its sanction to the Scheme of Amalgamation under section 391 to 394 of the Companies Act, 1956 (corresponding sections to sections 230 to 232 of the Companies Act, 2013), on 07.12.2016.

9. The Company Application No. 1641 of 2016, was allowed by the Hon'ble High Court of Judicature at Hyderabad on the 13th day of December, 2016 and the Hon'ble Sri Justice A Ramalingeswara Rao, Company Judge, at the High Court of Judicature at Hyderabad for the State of Telangana and the State of Andhra Pradesh was pleased to dispense with the requirement of convening the meeting of the Shareholders of Wiki Kids Limited, vide Order dated 13th day of December, 2016, since all the shareholders of Wiki Kids Limited had already given their respective consent by way of individual affidavits to the Scheme stating that they are aware of the Scheme of Amalgamation and that they do not have any objection to the proposed Scheme of Amalgamation between Avantel Limited (Transferee Company) and Wiki Kids Limited (Transferor Company) and their respective Shareholders and Creditors.

10. Besides convening the Court Convened Meeting as ordered by the Hon'ble High Court of Judicature at Hyderabad, in terms of clause 9 of Annexure I to the Securities and Exchange Board of India ('SEBI') Circular No.CIR/CFD/CMD/16/2015 dated, November 30, 2015 ('SEBI Circular'), Avantel Limited is required to take the approval of public shareholders to the Scheme of Amalgamation through Postal Ballot and E-voting. Accordingly this Postal Ballot and E-voting notice is given in terms of the aforesaid SEBI Circular for obtaining the approval of the Public Shareholders to the proposed Scheme of Amalgamation by passing the resolutions as enumerated herein by way of Postal Ballot and E-voting.

11. The Scheme of Amalgamation shall be acted upon only: (i) if the votes cast by the public shareholders in favor of the proposal are more than the number of votes cast by the public shareholders against it in the Postal Ballot and E-voting during 28.12.2016, 09:00 AM to 26.01.2017, 05:00 PM; and (ii) if the proposal is approved by the majority of persons representing three-fourths in value of the members voting in person or by proxy at the Court Convened Meeting on 27.01.2017 or through E-Voting during 24.01.2017, 09: AM to 26.01.2017, 05:00 PM.

12. M/s. Avantel Limited was originally incorporated as a Private Limited Company under the name and style "Dialog Communications Private Limited" on 30.05.1990 (Thirtieth day of May, One Thousand Nine Hundred and Ninety), in the state of Andhra Pradesh, vide Certificate of Incorporation Number 01-11334 of 1990-91, issued by the Registrar of Companies. Subsequently the name of the Company was changed from "Dialog Communications Private Limited" to "Avantel Communications private Limited" and consequent upon change of name, the Company obtained a Fresh Certificate of Incorporation from the Registrar of Companies, on 11.08.1993 (Eleventh day of August, One Thousand Nine Hundred and Ninety Three) after complying with the relevant provisions under the Companies Act, 1956. Subsequently, the Company converted itself into a Public Limited Company by following the due procedure as laid down under the provisions of the Companies Act, 1956 and the word "Private" was deleted from the name of the Company and consequent upon conversion, the Company obtained a Fresh Certificate of Incorporation from the Registrar of Companies on 20.12.1994 (Twentieth day of December, One Thousand Nine Hundred and Ninety Four). Further, in the month of December, 1998, the name of the Company was once again changed from "Avantel Communications Limited" to "Avantel Softech Limited" and consequent upon change of name, the Company obtained a Fresh Certificate of Incorporation from the Registrar of Companies, on 24.12.1998 (Twenty Fourth day of December, One Thousand Nine Hundred and Ninety Eight) after complying with the relevant provisions under the Companies Act, 1956.The name of the Company was once again changed from "Avantel Softech Limited" to "Avantel Limited" and consequent upon change of name, the Company obtained a Fresh Certificate of Incorporation from the Registrar of Companies, on 25.09.2008 (Twenty Fifth day of September, Two Thousand and Eight) after complying with the relevant provisions under the Companies Act, 1956.The present Corporate Identification Number (CIN) of the Company is L72200AP1990PLC011334, PAN: AABCA7382H. (Hereinafter referred to as the **"Avantel" / "Transferee Company" as the context may require").**

13. **Details of promoters of Avantel**

Full Name	DIN	Present Address	Designation	Date of Appointment
Abburi Vidyasagar	00026524	Villa No 15, Vision Infinity Homes, Tellapur (V), Ramachandrapuram (M), Medak Dist. Pin 502032	Promoter & Managing Director	01/04/2007
Abburi Sarada	00026543	Villa No 15, Vision Infinity Homes, Tellapur (V), Ramachandrapuram (M), Medak Dist. Pin 502032	Promoter, Whole-time Director & CFO	14/05/2014
Abburi Siddhartha Sagar	02312563	Villa No 15, Vision Infinity Homes, Tellapur (V), Ramachandrapuram (M), Medak Dist. Pin 502032	Promoter	-
Abburi Sailaja	0525172	Villa No 15, Vision Infinity Homes, Tellapur (V), Ramachandrapuram (M), Medak Dist. Pin 502032	Promoter	-
Abburi Venkateswara Rao	-	Villa # 362, Indu Fortune Fields, SY No.1009, Phase XIII, KPHB Hyderabad 500072 TG	Promoter	-

14. **Details of directors of Avantel**

Full Name	DIN	Present Address	Designation	Date of Appointment
Abburi Vidyasagar	00026524	Villa No 15, Vision Infinity Homes, Tellapur (V), Ramachandrapuram (M), Medak Dist. Pin 502032	Managing Director	01/04/2007
Abburi Sarada	00026543	Villa No 15, Vision Infinity Homes, Tellapur (V), Ramachandrapuram (M), Medak Dist. Pin 502032	Whole-time Director & CFO	14/05/2014
Subramanaiya Balakrishnan	00026612	Flat No.01, Block - 10, Rukminidevi Colony, 3-38-10, West Maredapally Secunderabad 500026 TG	Director	31/10/2013
Myneni Narayana Rao	00577494	House No: 7-1-58/4/503, Block - IV - B Divya Sakthi Apartments, Ameerpet, Hyderabad 500016 AP	Director	13/02/2016
Yalamanchili Kishore	01633048	Villa No 333, Indu Fortune Lane, Phase-13, KPHB Colony, KUKATPALLY Hyderabad 500072 TG	Director	30/04/2011
Raghu Prasad Pidikiti	01660157	267/M1 Ground Floor Sanjeeva Reddy Nagar Hyderabad 500038 TG	Director	25/10/2014
Naveen Nandigam	02726620	H No.1-3-183/40/21/E, Plot No.9, P and T Colony Kavadiguda, Gandhi Nagar Hyderabad 500080 TG	Director	30/10/2010
Elluru Bala Venkata Ramana Gupta	07402341	Villa # 116, Indu Fortune Fields, Phase - 13, Near High-tech City Railway Station, KPHB Colony, Hyderabad 500072 TG	Director	13/02/2016

15. Avantel is a Listed Company having its shares listed and traded on BSE Limited (formerly known as 'Bombay Stock Exchange Ltd'). The scrip code of the Company is 532406.

16. The Registered Office of Avantel is situated at Sy No. 141, Plot No. 47/P, APIIC Industrial Park, Gambheeram (V), Anandapuram (M), Vishakhapatnam- 531163, Andhra Pradesh, India.

17. The present main objects of Avantel are as follows:

a) To design, develop, acquire, manufacture, purchase, sell, or otherwise transfer, lease, import, export, hire, license, use, dispose of, operate, fabricate, construct, distribute, demonstrate, assemble, repair overhaul, recondition, work upon, maintain or otherwise and generally deal in all kinds of Electronic, Electrical, Mechanical Equipments, used in and / or for Audio, Visual communications and office automation, and other equipments, apparatus, components, appliances, devices, controls, instrumentation materials and parts or articles or things, connected therewith.

b) To do research, design, develop, manufacture, buy, sell, import, export, and deal in, all kinds and ranges, of telephonic microwave, navigational, calculating, computing, pneumatic, industrial, commercial, scientific and communications equipments, apparatus, appliances, and instruments and such allied and analogous to the foregoing or any of them or anything connected therewith.

c) To act as Administrative, Technical, Productivity, Managerial, Advisory, Commercial, Financial and any other type of Consultants in connection with the communication systems, sub-systems, equipment developed by the Company.

d) To carry on the business of consultant on engineering and other industrial matters, to do research, design, fabricate, setting up of plants, supervising, selling process know how, selling rights and acquiring any such rights and patents and to carry on the business of rendering services and assistance of all kinds to industrial concerns of all types in connection with main objects.

e) To carry on the business of electronics and computers in all kinds of descriptions and specially to design, develop, manufacture, purchase or otherwise acquire, buy, sell, import, export and franchise technologies, computer systems, communications systems, hardware, systems software, applications software, computer peripherals and accessories, equipment, machinery and services in the area of electronics, computers, hardware, software, their application and all related fields and activities and to establish and run data processing center, computer hardware and software centre, multimedia centre and to offer consultancy and to carry on the business of Intranet or Internet services and carry on the business as an ISP or acting as vendor and providing Internet services.

f) To carry on the business of consultancy and technology development and to undertake and execute other services such as software consultancy, management consultancy, techno-economic feasibility studies in the areas of electronics, communications, computers and their applications within and outside India.

g) To establish and run computer centers either directly or through licensees or franchisees or by being a franchise holder or licence holder, in India and abroad, to carry on the business of Software development, data processing, word processing, document and image processing, network support, system maintenance, bug fixing, application enhancement, web site design, development and hosting and all other related services.

h) To research, design, develop, manufacture, buy, sell, import, export and deal in all kinds of Electronics & Communication Components, sub systems and systems including RF/Microwave products, Analog/ Digital Radio Communication Systems, Satellite Communication Products, Telecom Network Access products, Switching Equipment, Business Communication Systems, Terminals, Telecom Transmission Systems, Mobile Equipment for VSAT, Cellular, Paging, Radio Terminals and Wireless in Local Loop.

i) To establish computer and communication networks either as part of international networks or as standalone networks or otherwise and provide high speed digital / analog communication links to other networks to establish and offer e-mail services, bulletin board services, online services and any other service which is feasible by using, internet or any other such international networks and to establish, install and commission the communication links to offer basic Telephone Services, Broadcasting Services, Cellular Services, Paging Services, Remote Sensing and other value added services.

j) To carry on the business of INSAT MOBILE SATELLITE SYSTEM reporting service, all types of communication services, satellite based services including VSAT/EDUSAT/ELEMEDICINE/MSS communications and to obtain licenses, authorizations, approvals from Ministry of Communications, ISRO and such other Government designated authorities in this connection.

k) To provide in India or abroad e-learning, computer based training (CBT), on-line education, turnkey solutions and business of consultancy services and technology development in e-learning business and solutions, evaluation and strategy development services, outsourcing services, training centers and develop educational portals and be an information and knowledge service provider.

l) To carry on the business of transmission, distribution and broadcasting of various channels including entertainment in India and outside India including satellite earth station for uplink facilities and the related business thereof.

m) To promote, own, acquire, construct, erect, establish, maintain, improve, manage, operate, alter, carry on, control, take on hire/ lease power plants including renewable power plants, cogeneration power plants, energy conservation projects, captive power stations, power transmission and distribution systems and to generate or produce power using any form of energy including but not limited to coal, any form of gas, lignite, fuel oil, bio-mass, Liquid Natural Gas, agricultural waste, industrial or municipal waste, thermal, solar, hydel, geo-thermal, coal methanation, wind and tidal waves in India, and to buy, sell, distribute, transmit, supply, exchange, market electric power, energy, through grid or off grid, from /to the Central/State Electricity Board(s), State Government(s),Appropriate Authorities, licensees, specific industrial units, private generating stations and other consumers for industrial, commercial, agricultural, household and any other purpose in India and elsewhere.

n) To construct, lay down, establish, promote, erect, build, install, commission, carry out and run all necessary power substations, workshops, repair shops, wires, cables, transmission lines, accumulators, street lights for the purpose of conservation, distribution, and supply of electricity of participating industries, State Electricity Board(s) and other Board(s) for repairing and maintenance of all distribution and supply lines and to acquire concession, facilities or licenses from Electricity Board(s), Government, Semi Government or local authorities for generation, distribution, production, transmission or use of electric power and to take over along with all movable and immovable properties, the existing facilities on mutually agreed terms from aforesaid authorities.

o) To carry on in India or elsewhere the business to manufacture, produce, assemble, alter, acquire, convert, commercialize, design, develop, purchase, sell, resell, transfer, lease, import, export, hire, lease, let on hire, license, use, dispose of, operate, maintain, market, own, operate, fabricate, construct, establish, distribute, remodel, finish, hold, handle, install, demonstrate, repair, overhaul, renovate, recondition, work upon and to act as agent, broker, financier, stockiest, turn key supplier, contractor, promoter, consultant, engineer, collaborator or otherwise and generally deal in all kinds of energy conservation equipment's, devises, systems, implements, components, parts, fittings, accessories, Instruments, Apparatus, Transformers, Electronic/ Electrical/ Mechanical/ Communication Items used in and/or for energy conservation, smart energy systems, clean technologies, green buildings and other equipment's, apparatus, appliances, devices, controls and instrumentation and to carry on in India or elsewhere the business to act as Administrative, Technical, Productivity, Managerial, Advisory, Commercial, Financial and any other type of Consultants in connection with the energy conservations, demand management, energy audits, communication systems, sub-systems, equipment developed by the Company.

18. The authorized, issued, subscribed and paid-up share capital of Avantel as on 31.03.2016:

Share Capital	Amount in Rs.	Amount in Rs.
Authorized Capital 70,00,000 Equity Shares of Rs. 10/- each		7,00,00,000
Total		**7,00,00,000**
Issued, Subscribed and Paid-Up Capital 40,54,493 fully paid up Equity Shares of Rs. 10/- each Add: Forfeited shares (Amount originally paid up)	4,05,44,930 6,000	4,05,50,930
Total		**4,05,50,930**

19. Avantel Limited owes an amount of Rs.42,84,005/- (Rupees Forty Two Lakhs Eighty Four Thousand and Five only) to 8 (Eight) Trade Creditors (unsecured) as on 30.11.2016.

20. It is submitted that all the aforesaid Trade Creditors have given their respective consent by way of individual affidavits to the Scheme stating that they are aware of the Scheme of Amalgamation and that they do not have any objection to the proposed Scheme of Amalgamation between Avantel Limited (Transferee Company) and Wiki Kids Limited (Transferor Company) and their respective Shareholders and Creditors.

21. M/s. "Wiki Kids Limited" was originally incorporated as a Private Limited Company under the name and style "knowledge Insight Dissemination Systems Private Limited" on 15.10.2004 (Fifteenth day of October Two Thousand and Four), in the state of Andhra Pradesh, vide Certificate of Incorporation Number U72200AP2004PTC44437 of 2004-05, issued by the Registrar of Companies. Subsequently, the Company converted itself into a Public Limited Company by following the due procedure as laid down under the provisions of the Companies Act, 1956 and the word "Private" was deleted from the name of the Company and consequent upon conversion, the Company obtained a Fresh Certificate of Incorporation from the Registrar of Companies on 16.05.2005 (Sixteenth day of May Two Thousand and Five). Subsequently, the name of the Company was changed from "knowledge Insight Dissemination Systems Limited" to "Wiki Kids Limited" and consequent to change of name, the Company obtained a Fresh Certificate of Incorporation from the Registrar of Companies, on 05.06.2009 (Fifth day of June, Two Thousand and Nine) after complying the due procedure as laid down under the Companies Act, 1956. The Present Corporate Identification Number (CIN) is U72200AP2004PLC044437, PAN: AADCK0375J. (Hereinafter referred to as the **"Wiki Kids / Transferor Company")**.

22. Details of promoters of wiki kids

Full Name	DIN	Present Address	Designation	Date of Appointment
Abburi Vidyasagar	00026524	Villa No 15, Vision Infinity Homes, Tellapur (V), Ramachandrapuram (M), Medak Dist. Pin 502032	Promoter	01/04/2007
Abburi Sarada	00026543	Villa No 15, Vision Infinity Homes, Tellapur (V), Ramachandrapuram (M), Medak Dist. Pin 502032	Promoter & Director	31/01/2009
Abburi Siddhartha Sagar	02312563	Villa No 15, Vision Infinity Homes, Tellapur (V), Ramachandrapuram (M), Medak Dist. Pin 502032	Promoter & Director	28/12/2013
Sailaja Abburi	05251726	Villa No 15, Vision Infinity Homes, Tellapur (V), Ramachandrapuram (M), Medak Dist. Pin 502032	Promoter & Director	16/04/2012
Ramesh Kosaraju	06851259	302, Sai Krishna Residency White Fields, Kondapur Hyderabad 500084 TG	Promoter & Director	25/03/2014
Subramanaiya Balakrishnan	00026612	Flat No.01, Block - 10, Rukminidevi Colony, 3-38-10, West Maredapally, Secunderabad 500026 TG	Promoter	31/10/2013

23. Details of directors of wiki kids

Full Name	DIN	Present Address	Designation	Date of Appointment
Abburi Sarada	00026543 / ADJPA8080A	Villa No 15, Vision Infinity Homes, Tellapur (V), Ramachandrapuram (M), Medak Dist. Pin 502032	Director	31/01/2009
Abburi Siddhartha Sagar	02312563 / AHQPA9386G	Villa No 15, Vision Infinity Homes, Tellapur (V), Ramachandrapuram (M), Medak Dist. Pin 502032	Director	28/12/2013
Sailaja Abburi	05251726 AOFPA2938A	Villa No 15, Vision Infinity Homes, Tellapur (V), Ramachandrapuram (M), Medak Dist. Pin 502032	Director	16/04/2012
Ramesh Kosaraju	06851259/ AGWPK1131K	302, Sai Krishna Residency White Fields, Kondapur Hyderabad 500084 TG	Director	25/03/2014

24. The Registered Office of Wiki Kids is situated at Sy. No. 141, Plot No. 47/P, APIIC Industrial Park, Gambheeram (Village), Anandapuram, Vishakhapatnam District -531163, Andhra Pradesh, India.

25. The present main objects of wiki Kids are as follows:

a) To provide in India or abroad e-learning, computer based training (CBT), and business of consultancy services and technology development in e-learning business and solutions, web designing & hosting, internet content, application services, software development services, internet services, evaluation and strategy development services, selective outsourcing services, training centers.

b) To carry on in India or abroad the business of design, develop and produce online padagogical tools and application tools and establish computer and communication networks either as part of international networks or as standalone networks or otherwise and provide high speed digital / analog communication links to other networks to establish and offer e-mail services, bulletin board services, online services.

c) To establish and run computer centres either directly or through licensees or franchisees or by being a franchise holder or licence holder, in India and abroad, to carry on the business of software development, data processing, word processing, documents and image processing, network support, system maintenance, bug fixing, application enhancement, web site design, development and hosting and all other related services.

26. The authorized, issued, subscribed and paid-up share capital of Wiki Kids as on 31.03.2016:

Share Capital	Amount in Rs.
Authorized Capital	
20,00,000 Equity Shares of Rs. 10/- each	2,00,00,000
Total	**2,00,00,000**
Issued, Subscribed and Paid-Up Capital	
11,70,000 Equity Shares of Rs. 10/- each	1,17,00,000
Total	**1,17,00,000**

27. Wiki Kids Limited is floated by the promoters of the Avantel Limited. The Promoters of Avantel Limited hold 99.93% of the paid up share capital of Wiki Kids Limited. The extent of shareholding interest in Wiki Kids Limited of the promoters of Avantel Limited is as follows:

Sl. No.	Name of the Promoters & persons belonging to the Promoter group of Avantel	No. of shares held in Wiki Kids	% of Shares held
1.	Abburi Vidyasagar	7,79,300	66.6
2.	Abburi Sidhartha Sagar	3,10,000	26.5
3.	Abburi Sarada	40,100	3.42
4.	Abburi Sailaja	40,000	3.41
	Total	**11,69,400**	**99.93**

28. Except Major Gen S Balakrishnan VSM (100 Shares), the other directors and other KMP of Avantel Limited does not hold any shares in the paid-up share capital of wiki Kids Limited company.

29. Wiki Kids Limited does not have any creditors (whether secured or unsecured whatsoever) as on 30.11.2016.

30. Rationale, objective, purpose and benefits of the Scheme to the Company and its stakeholders

a) Avantel is in the business of design, develop and manufacture of mobile satellite communication products, defence electronic equipment as well as software products and services. Amalgamation of Wiki Kids into Avantel will enable Avantel to directly foray into E-Learning services by leveraging its strength in software development.

b) The amalgamation will enable Avantel to diversify into high growth and profitable areas of business without any gestation. It enables Avantel to improve steadiness of cash flows and to participate more vigorously and profitably in an increasingly competitive and liberalized market.

c) The amalgamation would result in optimizing and leveraging existing resources and infrastructure of Avantel.

d) The combined entity would result in improved cash flows, increased net worth, better credit rating, and thereby strengthening the value of all the stakeholders of the Company.

31. Scope of the Scheme

The Scheme of Amalgamation provides for:

1. Amalgamation of Wiki Kids into Avantel.

2. Consequent to issue of equity shares by Avantel to the shareholders of Wiki Kids pursuant to the provisions of sections 230 to 232 of the Companies Act, 2013 (Corresponding Sections of Sections 391 to 394 of the Companies Act, 1956)and other relevant provisions of the Companies Act, 1956 and/or Companies Act, 2013.

3. Various other matters consequential to or otherwise integrally connected with the above in the manner provided for in the Scheme.

4. This Scheme of Amalgamation has been drawn up to comply with the conditions as specified under section 2(1B) of Income Tax Act, 1961, such that:

(a) All the properties of Wiki Kids, immediately before the amalgamation, become the properties of Avantel by virtue of amalgamation.

(b) All the liabilities of Wiki Kids, immediately before the amalgamation, become the liabilities of Avantel by virtue of amalgamation.

(c) Shareholders holding not less than nine-tenths in value of the shares in Wiki Kids, become the shareholders of Avantel by virtue of amalgamation.

32. Salient features of the Scheme

a) This Scheme of Amalgamation is presented under Sections 230 to 232 of the Companies Act, 2013 (Corresponding Sections of Sections 391 to 394 of the Companies Act, 1956) and other applicable provisions of the Companies Act, 1956 and of the Companies Act, 2013, to the extent notified, and it provides for the Amalgamation of Wiki Kids Limited, hereinafter referred to as “Wiki Kids” or “Transferor Company” into Avantel Limited hereinafter refer to as “Avantel” or “Transferee Company” and the consequent to issue of equity shares by Avantel to the Shareholders of Wiki kids as consideration for Amalgamation of wiki kids into Avantel. The Scheme also provides for various other matters consequential to or otherwise integrally connected with the above in the manner provided for in the Scheme.

b) **“Appointed date”** means **01.04.2016 (First day of April, Two Thousand and Sixteen)** or such other date as may be approved by the Hon’ble High Court of Judicature at Hyderabad for the State of Telangana and for the State of Andhra Pradesh or such other competent authority having jurisdiction to sanction the Scheme.

c) **“Effective Date”** means the date on which the certified copies of the order passed by the Court sanctioning the Scheme are filed with the Registrar of Companies of Hyderabad, Telangana and Andhra Pradesh and if the certified copies are filed on different dates the last of such dates. Any references in the Scheme to **“upon the Scheme becoming effective”** or **“effectiveness of the Scheme”** or **“Scheme coming into effect”** shall mean the **“Effective Date”.**

d) The Amalgamating Undertaking of the Transferor Company comprising of business, all assets and liabilities of whatsoever nature and where-so-ever situated, shall, under the provisions of Sections 230 to 232 of the Companies Act, 2013 (Corresponding Sections of Sections 391 to 394 of the Companies Act, 1956) and all other applicable provisions, if any, of the Act, without any further act or deed (save as provided below) be transferred to and vested in and/or be deemed to be transferred to and vested in the Transferee Company as a going concern so as to become the Undertaking of the Transferee Company and to vest in the Transferee Company all the rights, title, interest or obligations of the Transferor Company therein.

e) All the Immovable properties of the Transferor Company shall under the provisions of Sections 230 to 232 of the Companies Act, 2013 (Corresponding Sections of Sections 391 to 394 of the Companies Act, 1956), without any further act or deed, be transferred to or be deemed to be transferred to the Transferee Company so as to become as from the Appointed Date the Properties of the Transferee Company.

f) All the movable assets including but not limited to computers and equipments, office equipments, machineries, T.V. sets, softwares, IPRs, products, websites, portals, inventories, cash in hand of the Transferor Company capable of passing by manual delivery or by endorsement and delivery, shall be so delivered or endorsed and delivered, as the case may be, to the Transferee Company.

g) In respect of movables other than those specified in sub clause (c) above, including, outstanding loans and advances, Investments (whether current or non – current), trade receivables, recoverable in cash or in kind or for value to be received, bank balances and deposits, if any, with government, semi-government, local and other authorities and bodies, customers and other persons, the same shall, without any further act, instrument or deed, be transferred to and stand vested in and /or be deemed to be transferred to and stand vested in the Transferee Company under the provisions of Sections 230 to 232 of the Companies Act, 2013 (Corresponding Sections of Sections 391 to 394 of the Companies Act, 1956).

h) In relation to all licenses, franchises, permissions, approvals, consents, entitlements, sanctions, permits, rights, privileges and licenses including rights arising from contracts, deeds, license instruments and agreements, if any, belonging to the Transferor Company, which require separate documents of transfer including documents for attornment or endorsement, as the case may be, the Transferee Company will execute the necessary documents of transfer including documents for attornment or endorsement, as the case maybe, as and when required.

i) All secured and/or unsecured debts, if any, all liabilities, duties and obligations of every kind, nature, description, whether or not provided for in the books of account and whether disclosed or undisclosed in the balance sheet of the Transferor Company shall also, under the provisions of Sections 230 to 232 of the Companies Act, 2013 (Corresponding Sections of Sections 391 to 394 of the Companies Act, 1956), without any further act or deed, be transferred to or be deemed to be transferred to the Transferee Company so as to become as from the Appointed Date the debts, liabilities, duties and obligations of the Transferee Company and it shall not be necessary to obtain the consent of any third party or other person who is a party to any contract or restructuring by virtue of which such secured and/or unsecured debts, liabilities, duties and obligations have arisen, in order to give effect to the provisions of this sub clause.

j) It is clarified that unless otherwise determined by the Board of Directors of the Transferee Company, in so far as the borrowings / debts and assets comprising the Transferor Company are concerned:

the security or charge, if any existing or created in future before the effective date, for the loans or borrowings of the Transferor Company shall, without any further act or deed continue to relate to the said assets after the Effective Date; and

the assets of the Transferee Company shall not relate to or be available as security in relation to the said borrowings of the Transferor Company;

k) In so far as the various incentives, subsidies, special status and other benefits or privileges enjoyed (including credit on account of tax on book profits, sales tax, excise duty, custom duty, service tax, value added tax and other incentives), granted by any government body, local authority or by any other person and availed by the Transferor Company, the same shall vest with and be available to the Transferee Company on the same terms and conditions.

l) The Transferee Company shall under the provisions of the Scheme be deemed to be authorized to execute any such writings on behalf of the Transferor Company, to implement and carry out all formalities and compliances, if required, referred to above.

m) All the properties or assets of the Transferor Company whether movable or immovable, being transferred pursuant to this Scheme, which are registered and standing in the name of Transferor Company shall, upon the scheme being sanctioned by the Court and becoming effective, be registered in the name of the Transferee Company and the name of the Transferor Company shall be substituted with the name of the Transferee Company in all such certificates of registration, endorsements, records and in revenue/mutation records in case of immovable properties by such appropriate authorities.

n) Any tax liabilities under the Income-tax Act, 1961, service tax laws, customs law or other applicable laws/ regulations dealing with taxes/ duties / levies of the Transferor Company to the extent not provided for or covered by tax provision in the accounts made as on the date immediately preceding the Appointed Date, if any, shall be transferred to Transferee Company.

o) Any refund under the Income-tax Act, 1961, Wealth-tax Act, 1957, service tax laws or other applicable laws / regulations dealing with taxes/ duties / levies tax due to Transferor Company consequent to the assessment made on Transferor Company and for which no credit is taken in the accounts as on the date immediately preceding the Appointed Date shall also belong to and be received by the Transferee Company.

p) On the Scheme coming into effect, all staff, workmen and employees of the Transferor Company in service on the Effective Date shall be deemed to have become staff, workmen and employees of the Transferee Company with effect from the Effective Date without any break in their service and the terms and conditions of their employment with the Transferee Company shall not be less favourable than those applicable to them with reference to the Transferor Company on the Effective Date.

q) Upon the Scheme finally coming into effect and in consideration of transfer and vesting of the Amalgamating Undertaking of the Transferor Company to the Transferee Company in terms of provisions of the Scheme, the Transferee Company shall, without any further application or deed, issue and allot Equity Share(s) to the members of the Transferor Company whose names appear in the Register of members as on Record Date, in the following ratio:

"100 (One Hundred) equity share in the Transferee Company of the face value of Rs. 10/- (Rupees Ten only) each credited as fully paid-up for every 289 (Two Hundred and Eighty Nine) equity shares of Rs.10/- (Rupees Ten only) each fully paid-up held by such member in the Transferor Company."

r) In case any shareholder's holding in the Transferor Company is such that the shareholder becomes entitled to a fraction of an equity share of the Transferee Company, the Transferee Company shall not issue fractional shares to such shareholder but shall round off the Fractional Share, if any, that may arise due to the implementation of clause 10.1 of the Scheme, to the nearest Integer.

s) This Scheme is conditional upon and subject to:

(i) The Scheme being approved by a shareholders resolution of Avantel passed by way of postal ballot and e-voting, provided that the Scheme shall be acted upon only if the votes cast by the public shareholders in favour of the proposal are more than the number of votes cast by the public shareholders against it.

(ii) It being agreed to by the respective requisite majorities of members of Avantel and Wiki Kids as required under the Act and the requisite orders of the Court being obtained.

(iii) It being agreed to by the respective requisite majorities of creditors and the various classes of creditors (wherever applicable) of the Avantel and Wiki Kids as required under the Act and the requisite orders of the Court being obtained.

(iv) The requisite sanctions and approvals, as may be required by law in respect of this Scheme being obtained; and

(v) The certified copies of the orders of the Court sanctioning this Scheme being filed with the Registrar of Companies

33. Valuation Report

The valuation has been carried out by M/s. Nekkanti Srinivasu & Co., Chartered Accountants. A copy of the Valuation Report, dated 22.08.2016, including the basis of Valuation, is annexed to this Notice.

34. Fairness Opinion from Merchant Banker

The Company has obtained a Fairness Opinion dated 30th day of August, 2016, from Mark Corporate Advisors Private Limited, Merchant Banker. A copy of the Fairness Opinion given by the Merchant Banker is annexed to this Notice.

35. Complaints Report

The Company did not receive any complaints from any stakeholder during 21st day of September, 2016 to 12th day of October, 2016, in relation to the proposed Scheme of Amalgamation between Avantel Limited and Wiki Kids Limited and their respective Shareholders and Creditors. A copy of the Complaints Report dated 13.10.2016, as submitted to BSE is annexed to this Notice.

36. No-Objection / Observation Letters from the Stock Exchanges

The BSE Limited has issued its Observation Letter to the Scheme of Amalgamation between Avantel Limited (Transferee Company) and Wiki Kids Limited (Transferor Company) and their respective Shareholders and Creditors dated 16.11.2016. The Observation Letter given by the Stock Exchanges is annexed to this Notice.

37. Capital Structure Pre and Post Amalgamation

Pre and Post Amalgamation expected capital structure of Avantel Limited is as follows:

Particulars	Pre Amalgamation		Post Amalgamation	
	No. of Shares	Amount	No. of Shares	Amount
Authorized Share Capital				
Equity Shares of Rs. 10 each	70,00,000	7,00,00,000	90,00,000	9,00,00,000
Total	**70,00,000**	**7,00,00,000**	**90,00,000**	**9,00,00,000**
Issued, Subscribed & Paid-Up Share Capital				
Equity Shares of Rs. 10 each, fully paid-up	40,54,493	4,05,44,930	44,59,339	4,45,93,390
Add: Forfeited shares (amount originally paid up)	-	6,000	-	6,000
Total Issued, Subscribed and Paid-Up Share Capital	**40,54,493**	**4,05,50,930**	**44,59,339**	**4,45,99,390**

38. Pre and Post Amalgamation Shareholding Pattern of Avantel Limited

Category of Shareholder	Pre Amalgamation		Post Amalgamation	
	No. of Shares	%	No. of Shares	%
Promoter	15,59,268	38.46	19,63,904	44.04
Public	24,95,225	61.54	24,95,435	55.96
Non-Promoter Non-Public (shares held by Employee Trusts)	0	0.00	0	0.00
Total	**40,54,493**	**100.00**	**44,59,339**	**100**

39. A copy of this Notice, Scheme, Valuation Report, Fairness Opinion, Complaints Report, Observation Letter from Stock Exchange, Pre and Post Amalgamation Shareholding Pattern and other relevant documents are also available on the website of the Company i.e. http://www.avantel.in and also available for inspection at the registered office on all working days during office hours.

40. The Scheme of Amalgamation, if approved by the appropriate authorities and the Court, shall not have any adverse impact or effect on the Key Managerial Persons, Directors, Promoters, Non-Promoter Members, Creditors, whether secured or unsecured, employees of Avantel and / or Wiki Kids. The Companies does not have any Depositors or Debenture Holders.

41. The Directors and KMPs of the Transferee Company and the Directors of the Transferor Company have no material interest in the proposed Scheme of Amalgamation except as shareholders in general and the Scheme of Amalgamation shall not have any adverse effect on the Directors and Key Managerial Persons of respective Companies.

42. No inquiry or investigation under sections 235 to 251 of the Companies Act, 1956, or under Section 210 to 227 of Companies Act, 2013, is pending against Avantel Limited or Wiki Kids Limited.

43. The financial position of the Transferee Company will not be adversely affected by the Scheme.

44. Inspection and / or extract by the Equity Shareholders of the Transferee Company, of the following documents is allowed at the Registered Office of the Company between 09:00 am and 5:00 pm on all working days (except on Sundays and Public holidays):

a) Copy of the Company Application No. 1642 of 2016 filed by Avantel Limited and copy of the Company Application No. 1641 of 2016 filed by Wiki Kids Limited with the Hon'ble High Court of Judicature at Hyderabad for the State of Telangana and the State of Andhra Pradesh.

b) Certified copy of the order dated 13th day of December, 2016, passed by the Hon'ble High Court of Judicature at Hyderabad for the State of Telangana and the State of Andhra Pradesh in the Company Application No. 1642 & 1641 of 2016.

c) Resolution passed by the Board of Directors of Avantel Limited (Transferee Company) and Wiki Kids Limited (Transferor Company) approving the Scheme of Amalgamation.

d) Scheme of Amalgamation between Avantel Limited (Transferee Company) and Wiki Kids Limited (Transferor Company) and their respective Shareholders and Creditors.

e) Valuation Report, dated 22.08.2016, M/s. Nekkanti Srinivasu & Co., Chartered Accountants.

f) Fairness Opinion dated 30.08.2016 issued by Mark Corporate Advisors Private Limited.

g) Complaints Report dated 13.10.2016 filed with BSE Limited.

h) Observation Letter dated 16.11.2016, issued by BSE Limited.

i) A certificate issued by Auditor of the company to the effect that the accounting treatment proposed in the scheme is in conformity with the Accounting Standards prescribed under Section 133 of the Companies Act, 2013;

j) Memorandum and Articles of Association of Transferee Company and Transferor Company

k) Audited Balance Sheet and Profit and Loss account of the Transferee Company and Transferor Company for the financial year ended 31.03.2016.

l) Register of Directors' shareholdings of the Transferee Company and Transferor Company.

45. The Scheme of Amalgamation requires the approval of the BSE Limited, Securities and Exchange Board of India and the National Company Law Tribunal. The Companies have obtained the approval of the BSE Limited and Securities and Exchange Board of India. The Companies are in the process of obtaining the sanction of the National Company Law Tribunal at Hyderabad.

46. The Scheme of Amalgamation, if approved by the Equity Shareholders, shall be operative from the Appointed Date subject to the approval and directions of the National Company Law Tribunal at Hyderabad.

None of the Directors and Key Managerial Personnel of respective Companies and their respective relatives is concerned or interested, financially or otherwise in the proposed resolution except as shareholders of their respective companies in general.

The Board of Directors recommends the resolution set out in this notice in relation to the approval of the proposed Scheme of Amalgamation between Avantel Limited (Transferee Company) and Wiki Kids Limited (Transferor Company) and their respective Shareholders and Creditors, by the shareholders of the Company.

This statement may be treated as an Explanatory Statement under Section 102 read with Section 230 of the Companies Act, 2013.

A copy of the Scheme, Explanatory Statement and Ballot Forms may be obtained from the Registered Office of Avantel Limited.

Registered Office:
Sy No.141, Plot No. 47/P, APIIC Industrial Park,
Gambheeram (V), Anandapuram (M)
Vishakhapatnam-531163, Andhra Pradesh

By Order of the Board
For Avantel Limited

Sd/-
Lokesh Agarwal
Company Secretary & Compliance Officer

Place: 17.12.2016
Date: Hyderabad

SCHEME OF AMALGAMATION

UNDER SECTIONS 230 TO 232 OF THE COMPANIES ACT, 2013 (CORRESPONDING SECTIONS TO SECTIONS 391 TO 394 OF THE COMPANIES ACT, 1956)

BETWEEN

AVANTEL LIMITED

(TRANSFEREE COMPANY)

AND

WIKI KIDS LIMITED

(TRANSFEROR COMPANY)

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

(A) PREAMBLE OF THE SCHEME

This Scheme of Amalgamation is presented under Sections 230 to 232 of the Companies Act, 2013 (Corresponding Sections to Sections 391 to 394 of the Companies Act, 1956) and other applicable provisions of the Companies Act, 1956 and of the Companies Act, 2013, to the extent notified, and it provides for the Amalgamation of Wiki Kids Limited, hereinafter referred to as "Wiki Kids" or "Transferor Company" into Avantel Limited hereinafter refer to as "Avantel" or "Transferee Company" and the consequent to issue of equity shares by Avantel to the Shareholders of Wiki kids as consideration for Amalgamation of wiki kids into Avantel.

The Scheme also provides for various other matters consequential to or otherwise integrally connected with the above in the manner provided for in the Scheme.

(B) DESCRIPTION OF THE COMPANIES

M/s. Avantel Limited was originally incorporated as a Private Limited Company under the name and style "Dialog Communications Private Limited" on 30.05.1990 (Thirtieth day of May, One Thousand Nine Hundred and Ninety), in the state of Andhra Pradesh, vide Certificate of Incorporation Number 01-11334 of 1990-91, issued by the Registrar of Companies. Subsequently the name of the Company was changed from "Dialog Communications Private Limited" to "Avantel Communications private Limited" and consequent upon change of name, the Company obtained a Fresh Certificate of Incorporation from the Registrar of Companies, on 11.08.1993 (Eleventh day of August, One Thousand Nine Hundred and Ninety Three) after complying with the relevant provisions under the Companies Act, 1956. Subsequently, the Company converted itself into a Public Limited Company by following the due procedure as laid down under the provisions of the Companies Act, 1956 and the word "Private" was deleted from the name of the Company and consequent upon conversion, the Company obtained a Fresh Certificate of Incorporation from the Registrar of Companies on 20.12.1994 (Twentieth day of December, One Thousand Nine Hundred and Ninety Four). Further, in the month of December, 1998, the name of the Company was once again changed from "Avantel Communications Limited" to "Avantel Softech Limited" and consequent upon change of name, the Company obtained a Fresh Certificate of Incorporation from the Registrar of Companies, on 24.12.1998 (Twenty Fourth day of December, One Thousand Nine Hundred and Ninety Eight) after complying with the relevant provisions under the Companies Act, 1956.The name of the Company was once again changed from "Avantel Softech Limited" to "Avantel Limited" and consequent upon change of name, the Company obtained a Fresh Certificate of Incorporation from the Registrar of Companies, on 25.09.2008 (Twenty Fifth day of September, Two Thousand and Eight) after complying with the relevant provisions under the Companies Act, 1956.The present Corporate Identification Number (CIN) of the Company is L72200AP1990PLC011334.(Hereinafter referred to as the **"Avantel" / "Transferee Company" as the context may require").**

Avantel is a Listed Company having its shares listed and traded on BSE Limited (formerly known as 'Bombay Stock Exchange Ltd'). The scrip code of the Company is 532406.

The Registered Office of Avantel is situated at Sy No.141, Plot No.47/P, APIIC Industrial Park, Gambheeram (V), Anandapuram (M), Vishakhapatnam- 531163, Andhra Pradesh, India.

The present main objects of Avantel are as follows:

a) To design, develop, acquire, manufacture, purchase, sell, or otherwise transfer, lease, import, export, hire, license, use, dispose of, operate, fabricate, construct, distribute, demonstrate, assemble, repair overhaul, recondition, work upon, maintain or otherwise and generally deal in all kinds of Electronic, Electrical, Mechanical Equipments, used in and / or for Audio, Visual communications and office automation, and other equipments, apparatus, components, appliances, devices, controls, instrumentation materials and parts or articles or things, connected therewith.

b) To do research, design, develop, manufacture, buy, sell, import, export, and deal in, all kinds and ranges, of telephonic microwave, navigational, calculating, computing, pneumatic, industrial, commercial, scientific and communications equipments, apparatus, appliances, and instruments and such allied and analogous to the foregoing or any of them or anything connected therewith.

c) To act as Administrative, Technical, Productivity, Managerial, Advisory, Commercial, Financial and any other type of Consultants in connection with the communication systems, sub-systems, equipment developed by the Company.

d) To carry on the business of consultant on engineering and other industrial matters, to do research, design, fabricate, setting up of plants, supervising, selling process know how, selling rights and acquiring any such rights and patents and to carry on the business of rendering services and assistance of all kinds to industrial concerns of all types in connection with main objects.

e) To carry on the business of electronics and computers in all kinds of descriptions and specially to design, develop, manufacture, purchase or otherwise acquire, buy, sell, import, export and franchise technologies, computer systems, communications systems, hardware, systems software, applications software, computer peripherals and accessories, equipment, machinery and services in the area of electronics, computers, hardware, software, their application and all related fields and activities and to establish and run data processing center, computer hardware and software centre, multimedia centre and to offer consultancy and to carry on the business of Intranet or Internet services and carry on the business as an ISP or acting as vendor and providing Internet services.

f) To carry on the business of consultancy and technology development and to undertake and execute other services such as software consultancy, management consultancy, techno-economic feasibility studies in the areas of electronics, communications, computers and their applications within and outside India.

g) To establish and run computer centers either directly or through licensees or franchisees or by being a franchise holder or licence holder, in India and abroad, to carry on the business of Software development, data processing, word processing, document and image processing, network support, system maintenance, bug fixing, application enhancement, web site design, development and hosting and all other related services.

h) To research, design, develop, manufacture, buy, sell, import, export and deal in all kinds of Electronics & Communication Components, sub systems and systems including RF/Microwave products, Analog/ Digital Radio Communication Systems, Satellite Communication Products, Telecom Network Access products, Switching Equipment, Business Communication Systems, Terminals, Telecom Transmission Systems, Mobile Equipment for VSAT, Cellular, Paging, Radio Terminals and Wireless in Local Loop.

i) To establish computer and communication networks either as part of international networks or as standalone networks or otherwise and provide high speed digital / analog communication links to other networks to establish and offer e-mail services, bulletin board services, online services and any other service which is feasible by using, internet or any other such international networks and to establish, install and commission the communication links to offer basic Telephone Services, Broadcasting Services, Cellular Services, Paging Services, Remote Sensing and other value added services.

j) To carry on the business of INSAT MOBILE SATELLITE SYSTEM reporting service, all types of communication services, satellite based services including VSAT/EDUSAT/ELEMEDICINE/MSS communications and to obtain licenses, authorizations, approvals from Ministry of Communications, ISRO and such other Government designated authorities in this connection.

k) To provide in India or abroad e-learning, computer based training (CBT), on-line education, turnkey solutions and business of consultancy services and technology development in e-learning business and solutions, evaluation and strategy development services, outsourcing services, training centers and develop educational portals and be an information and knowledge service provider.

l) To carry on the business of transmission, distribution and broadcasting of various channels including entertainment in India and outside India including satellite earth station for uplink facilities and the related business thereof.

m) To promote, own, acquire, construct, erect, establish, maintain, improve, manage, operate, alter, carry on, control, take on hire/ lease power plants including renewable power plants, cogeneration power plants, energy conservation projects, captive power stations, power transmission and distribution systems and to generate or produce power using any form of energy including but not limited to coal, any form of gas, lignite, fuel oil, bio-mass, Liquid Natural Gas, agricultural waste, industrial or municipal waste, thermal, solar, hydel, geo-thermal, coal methanation, wind and tidal waves in India, and to buy, sell, distribute, transmit, supply, exchange, market electric power, energy, through grid or off grid, from /to the Central/State Electricity Board(s), State Government(s),Appropriate Authorities, licensees, specific industrial units, private generating stations and other consumers for industrial, commercial, agricultural, household and any other purpose in India and elsewhere.

n) To construct, lay down, establish, promote, erect, build, install, commission, carry out and run all necessary power substations, workshops, repair shops, wires, cables, transmission lines, accumulators, street lights for the purpose of conservation, distribution, and supply of electricity of participating industries, State Electricity Board(s) and other Board(s) for repairing and maintenance of all distribution and supply lines and to acquire concession, facilities or licenses from Electricity Board(s), Government, Semi Government or local authorities for generation, distribution, production, transmission or use of electric power and to take over along with all movable and immovable properties, the existing facilities on mutually agreed terms from aforesaid authorities.

o) To carry on in India or elsewhere the business to manufacture, produce, assemble, alter, acquire, convert, commercialize, design, develop, purchase, sell, resell, transfer, lease, import, export, hire, lease, let on hire, license, use, dispose of, operate, maintain, market, own, operate, fabricate, construct, establish, distribute, remodel, finish, hold, handle, install, demonstrate, repair, overhaul, renovate, recondition, work upon and to act as agent, broker, financier, stockiest, turn key supplier, contractor, promoter, consultant, engineer, collaborator or otherwise and generally deal in all kinds of energy conservation equipment's, devises, systems, implements, components, parts, fittings, accessories, Instruments, Apparatus, Transformers, Electronic/ Electrical/ Mechanical/ Communication Items used in and/or for energy conservation, smart energy systems, clean technologies, green buildings and other equipment's, apparatus, appliances, devices, controls and instrumentation and to carry on in India or elsewhere the business to act as Administrative, Technical, Productivity, Managerial, Advisory, Commercial, Financial and any other type of Consultants in connection with the energy conservations, demand management, energy audits, communication systems, sub-systems, equipment developed by the Company.

The authorized, issued, subscribed and paid-up share capital of Avantel as on 31st March, 2016, is as follows:

Share Capital	**Amount in Rs.**	**Amount in Rs.**
Authorized Capital		
70,00,000 Equity Shares of Rs. 10/- each		7,00,00,000
Total		**7,00,00,000**
Issued, Subscribed and Paid-Up Capital		
40,54,493 fully paid up Equity Shares of Rs. 10/- each Add: Forfeited shares (Amount originally paid up)	4,05,44,930 6,000	4,05,50,930
Total		**4,05,50,930**

M/s. "WIKI KIDS LIMITED" was originally incorporated as a Private Limited Company under the name and style "knowledge Insight Dissemination Systems Private Limited" on 15.10.2004 (Fifteenth day of October Two Thousand and Four), in the state of Andhra Pradesh, vide Certificate of Incorporation Number U72200AP2004PTC44437 of 2004-05, issued by the Registrar of Companies. Subsequently, the Company converted itself into a Public Limited Company by following the due procedure as laid down under the provisions of the Companies Act, 1956 and the word "Private" was deleted from the name of the Company and consequent upon conversion, the Company obtained a Fresh Certificate of Incorporation from the Registrar of Companies on 16.05.2005 (Sixteenth day of May Two Thousand and Five). Subsequently, the name of the Company was changed from "knowledge Insight Dissemination Systems Limited" to "Wiki Kids Limited" and consequent to change of name, the Company obtained a Fresh Certificate of Incorporation from the Registrar of Companies, on 05.06.2009 (Fifth day of June, Two Thousand and Nine) after complying the due procedure as laid down under the Companies Act, 1956. The Present Corporate Identification Number (CIN) is U72200AP2004PLC044437 (Hereinafter referred to as the **"Wiki Kids / Transferor Company").**

The Registered Office of Wiki Kids is situated at Sy. No. 141, Plot No. 47/P, APIIC Industrial Park, Gambheeram (Village), Anandapuram, Vishakhapatnam District -531163, Andhra Pradesh, India.

The present main objects of wiki Kids are as follows:

a) To provide in India or abroad e-learning, computer based training (CBT), and business of consultancy services and technology development in e-learning business and solutions, web designing & hosting, internet content, application services, software development services, internet services, evaluation and strategy development services, selective outsourcing services, training centers.

b) To carry on in India or abroad the business of design, develop and produce online padagogical tools and application tools and establish computer and communication networks either as part of international networks or as standalone networks or otherwise and provide high speed digital / analog communication links to other networks to establish and offer e-mail services, bulletin board services, online services.

c) To establish and run computer centres either directly or through licensees or franchisees or by being a franchise holder or licence holder, in India and abroad, to carry on the business of software development, data processing, word processing, documents and image processing, network support, system maintenance, bug fixing, application enhancement, web site design, development and hosting and all other related services.

The authorized, issued, subscribed and paid-up share capital of Wiki Kids as on 31st March, 2016, is as follows:

Share Capital	**Amount in Rs.**
Authorized Capital	
20,00,000 Equity Shares of Rs. 10/- each	2,00,00,000
Total	**2,00,00,000**
Issued, Subscribed and Paid-Up Capital	
11,70,000 Equity Shares of Rs. 10/- each	1,17,00,000
Total	**1,17,00,000**

(C) RATIONALE, OBJECTIVE & PURPOSE OF THE SCHEME

a) Avantel is in the business of design, develop and manufacture of mobile satellite communication products, defence electronic equipment as well as software products and services. Amalgamation of Wiki Kids into Avantel will enable Avantel to directly foray into E-Learning services by leveraging its strength in software development.

b) The amalgamation will enable Avantel to diversify into high growth and profitable areas of business without any gestation. It enables Avantel to improve steadiness of cash flows and to participate more vigorously and profitably in an increasingly competitive and liberalized market.

c) The amalgamation would result in optimizing and leveraging existing resources and infrastructure of Avantel.

d) The combined entity would result in improved cash flows, increased net worth, better credit rating, and thereby strengthening the value of all the stakeholders of the Company.

(D) SCOPE OF THE SCHEME

The Scheme of Amalgamation provides for:

1. Amalgamation of Wiki Kids into Avantel.

2. Consequent to issue of equity shares by Avantel to the shareholders of Wiki Kids pursuant to the provisions of sections 230 to 232 of the Companies Act, 2013 (Corresponding Sections to Sections 391 to 394 of the Companies Act, 1956) and other relevant provisions of the Companies Act, 1956 and/or Companies Act, 2013.

3. Various other matters consequential to or otherwise integrally connected with the above in the manner provided for in the Scheme.

4. This Scheme of Amalgamation has been drawn up to comply with the conditions as specified under section 2(1B) of Income Tax Act, 1961, such that:

   (d) All the properties of Wiki Kids, immediately before the amalgamation, become the properties of Avantel by virtue of amalgamation.

   (e) All the liabilities of Wiki Kids, immediately before the amalgamation, become the liabilities of Avantel by virtue of amalgamation.

   (f) Shareholders holding not less than nine-tenths in value of the shares in Wiki Kids, become the shareholders of Avantel by virtue of amalgamation.

(E) PARTS OF THE SCHEME:

This Scheme of Amalgamation is explained by dividing it into the following parts:

PART A : Deals with Definitions, Effective and Operative Dates.

PART B : Deals with Amalgamation of “Wiki Kids” (Transferor Company) into “Avantel” (Transferee Company).

PART C : Deals with General Terms and Conditions.

PART-A
DEFINITIONS, EFFECTIVE AND OPERATIVE DATES

1. DEFINITIONS

1.1 **“Act” or “the Act”** means the Companies Act, 1956 or as the case may be, the Companies Act, 2013 (to the extent applicable) and every modification or re-enactment thereof and references to sections of the Act shall be deemed to mean and include reference to sections enacted in modification or replacement thereof.

1.2 **“Applicable Law(s)”** means any statute, notification, bye-laws, rules, regulations, guidelines, or common law, policy, code, directives, ordinance, schemes, notices, orders or instructions enacted or issued or sanctioned by any Appropriate Authority including any modification or re-enactment thereof for the time being in force.

1.3 **“Amalgamation”** means the blending of Wiki Kids into Avantel and the substantial shareholders of Wiki Kids becoming, the shareholders of Avantel.

1.4 **"Amalgamating Undertaking"** shall mean:

a) All the assets and properties of Wiki Kids as on the Appointed Date.

b) All the secured and unsecured debts, liabilities, whether short term or long term contingent liabilities or duties and obligations of Wiki Kids as on the Appointed Date.

c) Without prejudice to the generality of sub clause (a) above, the Undertaking of Wiki Kids shall include all the assets and properties, whether movable or immovable, real or personal, in possession or reversion, corporeal or incorporeal, tangible or intangible, present or contingent and including but not limited to land and building, all fixed and movable plant and machinery, vehicles, fixed assets, plant and machinery, current assets, investments, reserves, provisions, funds, licenses, franchises, registrations, certificates, permissions, consents, approvals, concessions (including but not limited to sales tax concessions, excise duty, services tax or customs, value added tax and other incentives of any nature whatsoever), remissions, remedies, subsidies, guarantees, bonds, copyrights, patents, trade names, trademarks, track record, good-will and other rights and licenses in respect thereof, applications for copyrights, patents, trade names, trademarks, leases, leave and license agreements, tenancy rights, premises, ownership flats, hire purchase, lending arrangements, benefits of security arrangements, computers, insurance policies, office equipment, telephones, telexes, facsimile connections, communication facilities, website designing equipments, software development Equipments and installations and utilities, electricity, water and other service connections, contracts and arrangements, powers, authorities, permits, allotments, privileges, liberties, advantages, easements and all the right, title, interest, goodwill, benefit and advantage, deposits, reserves, preliminary expenses, benefit of deferred revenue expenditure, provisions, advances, receivables, deposits, cash, bank balances, accounts and all other rights, benefits of all agreements, subsidies, grants, incentives, tax credits, whether granted by state government or central government or any such other authority, (including but not limited to credits in respect of income-tax, tax on book profits, value added tax, sales tax, service tax, etc.), and other claims and powers, all books of accounts, documents and records of whatsoever nature and where so ever situated belonging to or in the possession of or granted in favour of or enjoyed by Wiki Kids, as on the Appointed Date.

d) All statutory licenses, franchises, approvals, permissions, no-objection certificates, permits, consents, patents, trademarks, tenancies, offices, depots, quotas, rights, entitlements, privileges, benefits of all contracts / agreements / leases (including, but not limited to, contracts / agreements with vendors, customers, government etc.), all other rights (including, but not limited to, right to use and avail electricity connections, water connections, environmental clearances, telephone connections, facsimile connections, telexes, e-mail, internet, leased line connections and installations, lease rights, easements, powers and facilities), of Wiki Kids as on the Appointed Date.

e) All staff, workmen and employees engaged in Wiki Kids.

f) All records, files, papers, information, computer programs, software applications, manuals, data, catalogues, quotations, advertising materials, lists of present and former students / customers, pricing information and other records, whether in physical form or electronic form of Wiki Kids.

1.5 **"Appointed date"** means **01.04.2016 (First day of April, Two Thousand and Sixteen)** or such other date as may be approved by the Hon'ble High Court of Judicature at Hyderabad for the State of Telangana and for the State of Andhra Pradesh or such other competent authority having jurisdiction to sanction the Scheme.

1.6 **"Board of Directors" or "Board"** in relation to Avantel and Wiki Kids, as the case may be, shall, unless it be repugnant to the context or otherwise, includes any Committee of Directors or any person authorized by the Board of Directors or such Committee of Directors.

1.7 **"Court" or "High Court"** means the Hon'ble High Court of Judicature at Hyderabad for the State of Telangana and for the State of Andhra Pradesh or the National Company Law Tribunal (NCLT) at Hyderabad or such other tribunal or authority having jurisdictions to sanction the Scheme.

1.8 **"Effective Date"** means the date on which the certified copies of the order passed by the Court sanctioning the Scheme are filed with the Registrar of Companies of Hyderabad, Telangana and Andhra Pradesh and if the certified copies are filed on different dates the last of such dates. Any references in the Scheme to the phrase **"upon the Scheme becoming effective"** or **"effectiveness of the Scheme"** or **"Scheme coming into effect"** shall mean the **"Effective Date".**

1.9 **"Record Date"** means the day immediately preceding the effective date for the purpose of determining the shareholders to whom the new shares of the Transferee Company shall be issued and allotted pursuant to the provisions of this Scheme.

1.10 **"Registrar of Companies"** means the Registrar of Companies at Hyderabad for the State of Telangana and Andhra Pradesh.

1.11 **"Scheme of Amalgamation"** or **"Scheme"** or **"the Scheme"** or **"this Scheme"** means this Scheme of Amalgamation in its present form or with any modifications, imposed or approved or directed by the Board of Directors of Avantel and / or Wiki Kids, or by the members or creditors of the Companies involved and /or DSE/SEBI/High Court /NCLT or any other appropriate authority.

1.12 **"SEBI"** means the Securities and Exchange Board of India.

1.13 **"Shareholders"** means the persons registered (whether registered owner of the shares or beneficial owner of the shares) as holders of equity shares of concerned Company as the context may require. The word “Shareholder” and “member” are used to denote the same meaning and are used interchangeably.

1.14 **“Stock Exchange”** means the BSE Limited where the equity shares of Avantel are listed and traded. The Designated Stock Exchange (DSE), for the purpose of coordinating with SEBI in relation to obtaining the in-principle approval to the Scheme, shall be BSE Limited.

1.15 **“Transferee Company”** means Avantel Limited (Avantel) a Company incorporated under the provisions of the Companies Act, 1956, bearing CIN: L72200AP1990PLC011334 and having its Registered Office situated at Sy No.141, Plot No. 47/P, APIIC Industrial Park, Gambheeram (V), Anandapuram (M), Vishakhapatnam -531163, Andhra Pradesh.

1.16 **“Transferor Company”** means Wiki Kids Limited (Wiki Kids), a Company incorporated under the provisions of the Companies Act, 1956, bearing CIN: U72200AP2004PLC044437 and having its registered office situated at Sy No.141, Plot No. 47/P, APIIC Industrial Park, Gambheeram (Village), Anandapuram, Vishakhapatnam District – 531163, Andhra Pradesh.

All terms and words not defined in this Scheme shall, unless repugnant or contrary to the context or meaning thereof, have the same meaning ascribed to them under the Act, the Income-tax Act, 1961 or any other applicable laws, rules, regulations, bye laws, as the case may be, including any statutory modification or re-enactment thereof from time to time.

2. EFFECTIVE DATE AND OPERATIVE DATE

The Scheme set out herein in its present form is subject to any modification(s) approved or imposed or directed by the Board of Directors of Avantel and / or Wiki Kids, or by the members or creditors of the Companies involved and/or DSE/SEBI/High Court/NCLT or any other appropriate authority, unless otherwise specified in the Scheme, shall be operative from the Appointed Date but shall be effective from the Effective Date.

PART-B
AMALGAMATION OF “WIKI KIDS” (TRANSFEROR COMPANY) INTO “AVANTEL” (TRANSFEREE COMPANY)

SECTION 1: TRANSFER & VESTING OF AMALGAMATING UNDERTAKING

3. Transfer of assets, properties, estates, claims, refunds, debts, duties, liabilities, obligations etc.,

3.1 Subject to the provisions of this Scheme as specified herein and with effect from the Appointed Date, the entire Amalgamating Undertaking of the Transferor Company shall be transferred to and vested in or be deemed to be transferred to and vested in the Transferee Company in the following manner:

a) The Amalgamating Undertaking of the Transferor Company comprising of business, all assets and liabilities of whatsoever nature and where-so-ever situated, shall, under the provisions of Sections 230 to 232 of the Companies Act, 2013 (Corresponding Sections to Sections 391 to 394 of the Companies Act, 1956) and all other applicable provisions, if any, of the Act, without any further act or deed (save as provided in sub clauses (b) (c) and (d) below) be transferred to and vested in and/or be deemed to be transferred to and vested in the Transferee Company as a going concern so as to become the Undertaking of the Transferee Company and to vest in the Transferee Company all the rights, title, interest or obligations of the Transferor Company therein.

b) All the Immovable properties of the Transferor Company shall under the provisions of Sections 230 to 232 of the Companies Act, 2013 (Corresponding Sections to Sections 391 to 394 of the Companies Act, 1956), without any further act or deed, be transferred to or be deemed to be transferred to the Transferee Company so as to become as from the Appointed Date the Properties of the Transferee Company.

c) All the movable assets including but not limited to computers and equipments, office equipments, machineries, T.V. sets, softwares, IPRs, products, websites, portals, inventories, cash in hand of the Transferor Company capable of passing by manual delivery or by endorsement and delivery, shall be so delivered or endorsed and delivered, as the case may be, to the Transferee Company.

d) In respect of movables other than those specified in sub clause (c) above, including, outstanding loans and advances, Investments (whether current or non – current), trade receivables, recoverable in cash or in kind or for value to be received, bank balances and deposits, if any, with government, semi-government, local and other authorities and bodies, customers and other persons, the same shall, without any further act, instrument or deed, be transferred to and stand vested in and /or be deemed to be transferred to and stand vested in the Transferee Company under the provisions of Sections 230 to 232 of the Companies Act, 2013 (Corresponding Sections to Sections 391 to 394 of the Companies Act, 1956).

e) In relation to all licenses, franchises, permissions, approvals, consents, entitlements, sanctions, permits, rights, privileges and licenses including rights arising from contracts, deeds, license instruments and agreements, if any, belonging to the Transferor Company, which require separate documents of transfer including documents for attornment or endorsement, as the case may be, the Transferee Company will execute the necessary documents of transfer including documents for attornment or endorsement, as the case maybe, as and when required.

f) All secured and/or unsecured debts, if any, all liabilities, duties and obligations of every kind, nature, description, whether or not provided for in the books of account and whether disclosed or undisclosed in the balance sheet of the Transferor Company shall also, under the provisions of Sections 230 to 232 of the Companies Act, 2013 (Corresponding Sections of Sections 391 to 394 of the Companies Act, 1956), without any further act or deed, be transferred to or be deemed to be transferred to the Transferee Company so as to become as from the Appointed Date the debts, liabilities, duties and obligations of the Transferee Company and it shall not be necessary to obtain the consent of any third party or other person who is a party to any contract or restructuring by virtue of which such secured and/or unsecured debts, liabilities, duties and obligations have arisen, in order to give effect to the provisions of this sub clause.

It is clarified that unless otherwise determined by the Board of Directors of the Transferee Company, in so far as the borrowings / debts and assets comprising the Transferor Company are concerned:

(a) the security or charge, if any existing or created in future before the effective date, for the loans or borrowings of the Transferor Company shall, without any further act or deed continue to relate to the said assets after the Effective Date; and

(b) the assets of the Transferee Company shall not relate to or be available as security in relation to the said borrowings of the Transferor Company;

g) In so far as the various incentives, subsidies, special status and other benefits or privileges enjoyed (including credit on account of tax on book profits, sales tax, excise duty, custom duty, service tax, value added tax and other incentives), granted by any government body, local authority or by any other person and availed by the Transferor Company, the same shall vest with and be available to the Transferee Company on the same terms and conditions.

3.2 The Transferee Company shall under the provisions of the Scheme be deemed to be authorized to execute any such writings on behalf of the Transferor Company, to implement and carry out all formalities and compliances, if required, referred to above.

3.3 All the properties or assets of the Transferor Company whether movable or immovable, being transferred pursuant to this Scheme, which are registered and standing in the name of Transferor Company shall, upon the scheme being sanctioned by the Court and becoming effective, be registered in the name of the Transferee Company and the name of the Transferor Company shall be substituted with the name of the Transferee Company in all such certificates of registration, endorsements, records and in revenue/mutation records in case of immovable properties by such appropriate authorities.

3.4 Any tax liabilities under the Income-tax Act, 1961, service tax laws, customs law or other applicable laws/ regulations dealing with taxes/ duties / levies of the Transferor Company to the extent not provided for or covered by tax provision in the accounts made as on the date immediately preceding the Appointed Date, if any, shall be transferred to Transferee Company.

3.5 Any refund under the Income-tax Act, 1961, Wealth-tax Act, 1957, service tax laws or other applicable laws / regulations dealing with taxes/ duties / levies tax due to Transferor Company consequent to the assessment made on Transferor Company and for which no credit is taken in the accounts as on the date immediately preceding the Appointed Date shall also belong to and be received by the Transferee Company.

3.6 On or after the Effective Date, all rights, entitlements and powers to revise returns and filings of the Transferor Company under the Income-tax Act, 1961, service tax laws and other laws, and to claim refunds and / or credits for taxes paid, etc. and for matters incidental thereto, shall be available to, and vest with the Transferee Company.

3.7 All tax assessment proceedings / appeals of whatsoever nature by or against the Transferor Company pending and/or arising at the Appointed Date and relating to the Transferor Company shall be continued and / or enforced until the Effective Date against the Transferor Company and from the Effective Date, the same shall be continued and enforced by or against the Transferee Company in the same manner and to the same extent as would or might have been continued and enforced by or against the Transferor Company.

Further, the aforementioned proceedings shall not abate or be discontinued nor be in any way prejudicially affected by reason of the amalgamation of the Transferor Company into the Transferee Company or anything contained in the Scheme.

3.8 All the tax payments (including, without limitation payments under the Income-Tax Act, 1961 Service Tax law, and other laws) whether by way of deduction at source, advance tax or otherwise howsoever, by the Transferor Company in respect of the profits or activities or operation of the business after the Appointed Date, the same shall be deemed to be the corresponding item paid by the Transferee Company and shall, in all proceedings, be dealt with accordingly. Further, any tax deducted at source by Transferor Company on transactions with the Transferee Company, if any (from Appointed Date till Effective Date) shall be deemed to be advance taxes paid by the Transferee Company and shall, in all proceedings be dealt with accordingly.

3.9 Obligation for deduction of tax at source on any payment made by or to be made by the Transferor Company under the Income-tax Act, 1961, service tax laws, or other applicable laws / regulations dealing with taxes/ duties / levies shall be made or deemed to have been made and duly complied with by the Transferee Company.

3.10 This Scheme has been drawn up to comply with the conditions relating to "Amalgamation" as specified under Section 2(1B) of the Income-tax Act, 1961. If any terms or provisions of the Scheme are found or interpreted to be inconsistent with the provisions of the said Section at a later date including resulting from a retrospective amendment of law or for any other reason whatsoever, till the time the Scheme becomes effective, the provisions of the said section of the Income-Tax Act, 1961, shall prevail and the Scheme shall stand modified to the extent determined necessary to comply with Section 2(1B) of the Income-tax Act, 1961.

4. Legal Proceedings

4.1 Upon the Scheme becoming effective, all legal and other proceedings, including before any statutory or quasi-judicial authority or tribunal of whatsoever nature, if any, by or against the Transferor Company pending and/or arising at the Appointed Date, shall be continued and enforced by or against the Transferee Company only, to the exclusion of the Transferor Company in the manner and to the same extent as it would have been continued and enforced by or against the Transferor Company. On and from the Effective Date, the Transferee Company shall and may, if required, initiate any legal proceedings in relation to the Transferor Company in the same manner and to the same extent as it would or might have been initiated by the Transferor Company.

4.2 After the Appointed Date, if any proceedings are taken against the Transferor Company the same shall be defended by and at the cost of the Transferee Company.

5. Contracts, deeds and other instruments

Subject to the other provisions of this Scheme, all contracts, deeds, bonds, agreements, leave and license agreements, licenses, engagements, certificates, benefits, privileges, entitlements, grants, sanctions, permissions, consents, approvals, concessions, any schemes under which the Transferor Company is registered with the government or any other authorities and incentives (including but not limited to benefits under the Income-Tax Act, 1961, service tax, and other laws), remissions, remedies, subsidies, guarantees, licences and other instruments, if any, of whatsoever nature to which the Transferor Company is a party and which have not lapsed and are subsisting or having effect on the Effective Date shall be in full force, and be effective against or in favour of the Transferee Company, as the case may be, and may be enforced by or against the Transferee Company as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party thereto. The Transferee Company may enter into and/or issue and/or execute deeds, writings or confirmations or enter into any tripartite restructurings, confirmations or novations, to which the Transferor Company will, if necessary, also be a party in order to give formal effect to the provisions of this Scheme, if so required or if so considered necessary. The Transferee Company shall be deemed to be authorized to execute any such deeds, writings or confirmations on behalf of the Transferor Company and to implement or carry out all formalities required on the part of the Transferor Company to give effect to the provisions of this Scheme.

6. Saving of concluded transactions

The transfer of Amalgamating Undertaking under clause 3 above and the continuation of proceedings by or against the Transferee Company under clause 4 above and the effectiveness of the contracts and deeds under clause 5 shall not affect any transactions and proceedings or contracts or deeds already concluded by the Transferor Company on or before the Appointed Date and after the Appointed Date till the Effective Date, to the end and intent that the Transferee Company accepts and adopts all acts, deeds and things done and executed by the Transferor Company in respect thereto as done and executed on behalf of itself.

7. Staff, workmen and employees

7.1 On the Scheme coming into effect, all staff, workmen and employees of the Transferor Company in service on the Effective Date shall be deemed to have become staff, workmen and employees of the Transferee Company with effect from the Effective Date without any break in their service and the terms and conditions of their employment with the Transferee Company shall not be less favourable than those applicable to them with reference to the Transferor Company on the Effective Date.

7.2 It is expressly provided that, in so far as the Gratuity Fund, Provident Fund, Super Annuation Fund, if applicable, Employee's State Insurance Corporation Contribution, Labour Welfare Fund or any other Fund created or existing for the benefit of the staff, workmen and employees of the Transferor Company is concerned, upon the Scheme coming into effect, the Transferee Company shall stand substituted for the Transferor Company for all purposes whatsoever in relation to the administration or operation of such Fund or Funds or in relation to the obligation to make contributions to the said Fund or Funds in accordance with the provisions thereof as per the terms provided in the respective Trust Deeds, if any, to the end and intent that all rights, duties, powers and obligations of the Transferor Company in relation to such fund or funds shall become those of the Transferee Company and all the rights, duties and benefits of the employees of the Transferor Company under such Funds and Trusts shall be protected, subject to the provisions of law for the time being in force. It is clarified that the services of the staff, workmen and employees of the Transferor Company will be treated as having been continuous for the purpose of the said Fund or Funds.

7.3 In so far as the Provident Fund, Gratuity Fund, Superannuation Fund, if applicable, or other Special Scheme(s) / Fund(s) created or existing for the benefit of the employees of the Transferor Company are concerned upon the coming into effect of this Scheme, balances lying in the accounts of the employees of the Transferor Company in the said funds as on the Effective Date shall stand transferred from the respective trusts / funds of the Transferor Company to the corresponding trusts / funds set up by the Transferee Company.

8. Clubbing of authorized share capital of Transferor Company with the authorized share capital of Transferee Company

8.1 Upon this Scheme becoming effective, the authorized share capital of the Transferee Company shall automatically stand increased without any further act, instrument or deed on the part of the Transferee Company including payment of stamp duty and fees payable to Registrar of Companies, by the authorized share capital of the Transferor Company amounting to Rs. 2,00,00,000/- (Rupees Two Crores only) divided into 20,00,000 (Twenty Lakhs) equity shares of Rs. 10/- (Rupees Ten only) each and the Memorandum of Association of the Transferee Company (relating to the authorized share capital) shall, without any further act, instrument or deed, be and stand altered, modified and amended, and the consent of the shareholders to the Scheme shall be deemed to be sufficient for the purposes of effecting this amendment, and no further resolution(s) under sections 13, 61, 64 of the Companies Act, 2013 and other applicable provisions of the Companies Act, 1956/2013, as the case may be, would be required to be separately passed, and for this purpose, the stamp duty and fees paid on the authorized share capital of the Transferor Company shall be utilized and applied to the increased authorized share capital of the Transferee Company and there would be no requirement for any further payment of stamp duty and/or fee by the Transferee Company for increase in the authorized share capital to that extent.

8.2 It is clarified that the approval of the members of the Transferee Company to the Scheme shall be deemed to be their consent / approval also to the Memorandum of Association of the Transferee Company as may be required under the Act and Clause V of the Memorandum of Association of the Transferee Company shall stand altered accordingly.

8.3 Further, if required, the Transferee Company shall take necessary steps to further increase and alter its Authorized Share Capital suitably to enable it to issue and allot the Equity Shares required to be issued and allotted by it to the shareholders of the Transferor Company in terms of this Scheme.

<u>SECTION 2: CONDUCT OF BUSINESS</u>

9. With effect from the Appointed Date up to and including the Effective Date:

9.1 The Transferor Company shall carry on and be deemed to have carried on its business and activities and shall stand possessed of Amalgamating Undertaking, in trust for the Transferee Company and shall account for the same to the Transferee Company.

9.2 Any income or profit accruing or arising to the Transferor Company and all costs, charges, expenses and losses or taxes incurred by the Transferor Company shall for all purposes be treated as the income, profits, costs, charges, expenses and losses or taxes, as the case may be, of the Transferee Company and shall be available to the Transferee Company for being disposed off in any manner as it thinks fit.

9.3 All liabilities debts, duties, obligations which arise or accrue on or after the Appointed Date shall be deemed to be the debts, liabilities, duties and obligations of the Transferee Company.

9.4 The Transferor Company shall carry on its business with reasonable diligence and in the same manner as it had been doing hitherto and the Transferor Company shall not alter or substantially expand its business except with the written concurrence of the Transferee Company.

9.5 With effect from the Effective Date, the Transferee Company shall suitably integrate the business being carried on by the Transferor Company into its business.

9.6 The Transferee Company shall be entitled, pending the sanction of the Scheme, to apply to the central government and all other agencies, departments and authorities concerned as are necessary under any law for such consents, approvals and sanctions which the Transferee Company may require to own and carry on the business of the Transferor Company.

9.7 It is clarified that the approval of the members of the Transferee Company to the Scheme shall be deemed to be their consent / approval also to the ancillary and incidental alterations, if any, to be carried out to the Memorandum of Association of the Company as may be required under the Act and there would be no further requirement of obtaining the members approval for such alterations arising pursuant to the sanctioned Scheme.

<u>SECTION 3: ISSUANCE OF SHARES BY THE TRANSFEREE COMPANY</u>

10. The Provisions of this section shall operate notwithstanding anything to the contrary in any other instrument, deed or writing.

10.1 Upon the Scheme finally coming into effect and in consideration of transfer and vesting of the Amalgamating Undertaking of the Transferor Company to the Transferee Company in terms of provisions of the Scheme, the Transferee Company shall, without any further application or deed, issue and allot Equity Share(s) to the members of the Transferor Company whose names appear in the Register of members as on Record Date, in the following ratio:

"100 (One Hundred) equity share in the Transferee Company of the face value of Rs. 10/- (Rupees Ten only) each credited as fully paid-up for every 289 (Two Hundred and Eighty Nine) equity shares of Rs.10/- (Rupees Ten only) each fully paid-up held by such member in the Transferor Company."

10.2 The Audit Committee and the Amalgamation Committee of the Transferee Company has taken into account the recommendations on the Share Exchange Ratio given by M/s. Nekkanti Srinivasu & Co., Chartered Accountants, acting as independent chartered accountants, and the fairness opinion provided by M/s. Mark Corporate Advisors Private Limited, acting as the merchant banker. On the basis of their evaluation and its own independent judgment, the Audit Committee the Amalgamation Committee has recommended the Scheme, including the Share Exchange Ratio to the Board of Directors of the Transferee Company.

10.3 The Board of Directors of the Transferee Company has taken into account the independent recommendations of the Audit Committee and the Amalgamation Committee.

10.4 The Board of Directors of the Transferee Company and the Transferor Company have taken into account the recommendations of the Share Exchange Ratio given by M/s. Nekkanti Srinivasu & co., Chartered Accountants.

10.5 The Board of Directors of the Transferee Company have also taken into account the fairness opinion provided by M/s. Mark Corporate Advisors Private Limited in relation to the Share Exchange Ratio.

10.6 The Board of Directors of the Transferee Company and the Transferor Company based on the aforesaid advices / opinions and on the basis of their independent judgment and evaluation has come to the conclusion that the Share Exchange Ratio is fair and reasonable and has approved the same at their respective meetings held on 03rd day of September, 2016.

10.7 The shares issued to the members of the Transferor Company by the Transferee Company pursuant to sub-clause 10.1 above shall be issued in dematerialized form only by the Transferee Company.

10.8 The Equity Shares to be issued in terms of this clause shall be subject to the provisions of the Memorandum and Articles of Association of the Transferee Company. The new Equity Shares shall rank pari-passu in all respects, including dividend, with the existing Equity Shares of the Transferee Company.

10.9 The members of the Transferee Company, on approval of the Scheme, shall be deemed to have given their approval under section 62 and other applicable provisions of the Companies Act, 2013, for issue of fresh equity shares to the members of the Transferor Company and the Transferee Company will not be required to pass any further resolution for issue and allotment of shares to the Shareholders of the Transferor Company.

10.10 All the equity shares issued pursuant to this Scheme to the members of the Transferor Company shall be listed and/or admitted to trading on the BSE Limited, in accordance with applicable laws.

10.11 In case any shareholder's holding in the Transferor Company is such that the shareholder becomes entitled to a fraction of an equity share of the Transferee Company, the Transferee Company shall not issue fractional shares to such shareholder but shall round off the Fractional Share, if any, that may arise due to the implementation of clause 10.1 of the Scheme, to the nearest Integer.

10.12 Upon this Scheme coming into effect, the shareholders of the Transferor Company shall surrender their share certificates pertaining to the Transferor Company for cancellation thereof to the Transferee Company. Further, notwithstanding anything to the contrary, upon the new shares in the Transferee Company being issued and allotted by it to the eligible shareholders of the Transferor Company whose names appear on the Register of Members of the Transferor Company as on the Record Date, the share certificates in relation to the shares held by them in the Transferor Company shall be deemed to have been cancelled and shall be of no effect on and from such Record Date.

SECTION 4: ACCOUNTING TREATMENT

11. Accounting Treatment in the Books of the Transferee Company:

11.1 Upon the Scheme becoming effective, the Transferee Company shall record the assets and liabilities of the Transferor Company transferred to the Transferee Company pursuant to this Scheme and account for the amalgamation of the Transferor Company pursuant to this Scheme in accordance with Accounting Standard -14 as notified by the Companies (Accounting Standards) Rules, 2006, as amended from time to time.

11.2 The Transferee Company shall record the issuance of shares to the members of the Transferor Company at fair value as determined in the valuation report given by the independent valuer and accordingly credit to its share capital account the aggregate face value of the equity shares issued pursuant to this Scheme. The excess, if any, of the fair value of the equity shares over the face value of the equity shares so issued shall be credited to the Securities Premium Account of the Transferee Company.

11.3 Inter-corporate deposits / loans and advances, if any, outstanding between the Transferee Company and the Transferor Company inter-se shall stand cancelled and there shall be no further obligation / outstanding in that behalf. Any difference arising on such cancellation should be adjusted in the reserves of the Transferee Company.

11.4 In case of any differences in accounting policy between the Transferor Company and Transferee Company, the accounting policies followed by Transferee Company will prevail and the difference till the Appointed Date will be quantified and adjusted against Profit and Loss Account, to ensure that the financial statements of Transferee Company reflect the financial position on the basis of consistent accounting policy.

11.5 Notwithstanding the above, the Transferee Company in consultation with its Auditors, is authorized to account for any of this balances in any manner, whatsoever if considered appropriate.

12. Dissolution of the Transferor Company

On the Scheme coming into effect, the Transferor Company (i.e. Wiki Kids Limited) shall, without any further act or deed, stand dissolved without going through the process of winding up.

PART - C
GENERAL TERMS AND CONDITIONS

13. Impact of the Scheme on creditors

This Scheme of Amalgamation, if approved by the appropriate authorities and the Court, shall not have any adverse impact on the Creditors whether secured or unsecured, of Avantel and / or Wiki Kids.

14. Dividends

14.1 Nothing contained in this Scheme shall be construed as restricting or restraining any of the Companies from being entitled to declare and pay dividends, whether interim or final, to their respective equity shareholders, whether during the pendency of the Scheme or otherwise.

14.2 The holders of the Equity Shares of respective Companies shall, save as expressly provided otherwise in this Scheme, continue to enjoy their existing rights under the Articles of Association of the respective Companies concerned including the right to receive dividends.

14.3 It is clarified that the aforesaid provisions in respect of declaration of dividends are enabling provisions only and shall not be deemed to confer any right on any member of any Company to demand or claim any dividends which, subject to the provisions of the said Act, shall be entirely at the discretion of the Boards of Directors of the respective Companies and subject to the approval of the shareholders of the respective Companies.

15. Filing of applications / petitions with the Court

Avantel and Wiki Kids shall, with all reasonable diligence, make and file all necessary applications, affidavits, petitions etc., before the Hon'ble High Court/NCLT/any other competent authority having jurisdiction over the Scheme, as the case may be, for obtaining the sanction to this Scheme of Amalgamation under Sections 230 to 232 of the Companies Act, 2013 (Corresponding Sections to Sections 391 to 394 of the Companies Act, 1956) and each of them shall apply for all necessary approvals as may be required under law.

16. Modification of Scheme

16.1 Avantel and Wiki Kids by their respective Board of Directors or any Committee thereof or any Director authorized in that behalf (hereinafter referred to as the "Delegate") may assent to, or make, from time to time, any modifications or amendments or additions to this Scheme which the Court or any appropriate authority (ies) under law may deem fit to approve or impose and which Avantel and Wiki Kids may in their discretion accept or such modifications or amendments or additions as Avantel and Wiki Kids or as the case may be, their respective Delegate may deem fit, or required for the purpose of resolving any doubts or difficulties that may arise for carrying out this Scheme, and Avantel and Wiki Kids by their respective Boards of Directors or Delegate are hereby authorized to do, perform and execute all acts, deeds, matters and things necessary for bringing this Scheme into effect, or review the position relating to the satisfaction of the conditions of this Scheme and if necessary, waive any of such conditions (to the extent permissible under law) for bringing this Scheme into effect. In the event that any conditions may be imposed by the Court or any authorities, which Avantel and Wiki Kids find unacceptable for any reason, then Avantel and Wiki Kids shall be at liberty to withdraw the Scheme. The aforesaid powers of Avantel and Wiki Kids may be exercised by their respective Delegates.

16.2 For the purpose of giving effect to this Scheme or to any modifications or amendments thereof or additions thereto, the Delegates (acting jointly) of Avantel and Wiki Kids may give such directions as they may consider necessary to settle any question or difficulty arising under this Scheme or in regard to and of the meaning or interpretation of this Scheme or implementation thereof or in any matter whatsoever connected therewith (including any question or difficulty arising in connection with any deceased or insolvent shareholders, depositors of the respective Companies), or to review the position relating to the satisfaction of various conditions of this Scheme and if necessary, to waive any of those conditions (to the extent permissible under law).

17. Scheme Conditional Upon

17.1 This Scheme is conditional upon and subject to:

(vi) In-principle approval / Observation Letter from the Stock Exchange being obtained.

(vii) The Scheme being approved by a shareholders resolution of Avantel passed by way of postal ballot and e-voting, provided that the Scheme shall be acted upon only if the votes cast by the public shareholders in favour of the proposal are more than the number of votes cast by the public shareholders against it.

(viii) It being agreed to by the respective requisite majorities of members of Avantel and Wiki Kids as required under the Act and the requisite orders of the Court being obtained.

(ix) It being agreed to by the respective requisite majorities of creditors and the various classes of creditors (wherever applicable) of the Avantel and Wiki Kids as required under the Act and the requisite orders of the Court being obtained.

(x) The requisite sanctions and approvals, as may be required by law in respect of this Scheme being obtained; and

(xi) The certified copies of the orders of the Court sanctioning this Scheme being filed with the Registrar of Companies.

17.2 In the event of notification of provisions pertaining to the compromise and arrangements under the Companies Act, 2013, and upon the notification of the provisions of Section 434 of the Companies Act, 2013, in the Official Gazette, by the Central Government, during the pendency of the Scheme at any stage, the Scheme shall be governed and administered in accordance with the notification issued by the Central Government in that regard and the relevant applicable provisions of the Companies Act, 2013. It is clarified that upon such notification proceedings pending in respect of the Scheme before the High Court shall be transferred and continued without there being any requirement or necessity of approving the Scheme or filing of applications/petitions afresh by the respective Boards.

17.3 In the event of this Scheme failing to take effect before 31st day of March, 2018, or such later date as may be agreed by the respective Boards of Directors of Avantel and Wiki Kids, this Scheme shall stand revoked, cancelled and be of no effect and become null and void and in that event no rights and liabilities whatsoever shall accrue to or be incurred inter-se by the Companies or their shareholders or creditors or employees or any other person. In such case, both the Companies shall bear its own costs, charges and expenses or shall bear costs, charges and expenses as may be mutually agreed.

18. Effect of non-receipt of approvals

In the event of any of the said sanctions and approvals referred to in clause 17 above not being obtained (unless otherwise decided by the Board of Directors) and / or the Scheme not being sanctioned by the Court or such other competent authority as aforesaid, this Scheme shall stand revoked, cancelled and be of no effect, save and except in respect of any act or deed done prior thereto as is contemplated hereunder or as to any rights and / or liabilities which might have arisen or accrued pursuant thereto and which shall be governed and be preserved or worked out as is specifically provided in the Scheme or as may otherwise arise in law.

19. Severability

If any part of this Scheme is found to be unworkable for any reason whatsoever, the same shall subject to the decision of Avantel and Wiki Kids, not affect the validity or implementation of the other parts and / or provisions of this Scheme.

20. Costs, charges, etc.

All costs, charges, levies and expenses (including stamp duty) in relation to or in connection with or incidental to this Scheme or the implementation thereof shall be borne and paid by Avantel.

NEKKANTI SRINIVASU & CO.,
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VALUATION REPORT

In relation to the proposed Amalgamation of

WIKI KIDS LIMITED

WITH

AVANTEL LIMITED

NEKKANTI SRINIVASU & CO. Chartered Accountants FRN: 008801S HYDERABAD

M/s. Nekkanti Srinivasu & co., Chartered Accountants
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Strictly Private and Confidential

To, The Board of Directors of **AVANTEL LIMITED** (*Transferee Company*) Plot No. 16, Sector-III, HUDA Techno Enclave, Opp. K. Raheja IT Park,, Madhapur, Hyderabad, Telangana 500081.	To, The Board of Directors of **WIKI KIDS LIMITED**(Transferor Company) Sy No.141,Plot No.47/P,APIIC Industrial Park Gambheeram(Village), Anandapuram, Vishakhapatnam District AP 531163.

Subject : Recommendation of the Fair Equity share exchange ratio for the purpose of the proposed merger of Wiki Kids Limited with Avantel Limited .

Dear Sir/Madam,

We refer to the Engagement letter with M/s. Nekkanti Srinivasu & Co (hereinafter referred to as the "Valuer"), wherein Wiki Kids Limited , Avantel Limited (herein after collectively referred to as the "Companies") have requested us to recommend a Fair Equity Share Exchange Ratio for the Proposed Merger (defined hereinafter) and the discussions that we have had with and information that we have received from the managements of the companies ("Mangement /Managements") from time to time in the above matter .

NEKKANTI SRINIVASU & CO., Chartered Accountants FRN 008801S HYDERABAD

SCOPE OF ENGAGEMENT

The scope of our services is to conduct a relative valuation of equity shares of Wiki Kids Limted in terms of the relative value of equity shares of Avantel Limited for recommending Fair Equity Share Exchange Ratio for the Proposed Merger in accordance with generally accepted professional standards.

While performing the valuation exercise, an examination and analysis has been carried out in respect of following aspects of the activities, of the companies such as:

- Background of the companies
- Historical performance and financial position based on audited financial statements
- Competitive positioning in the industry and analysis of comparable companies.
- Strengths, opportunities available and weaknesses of the entities;
- Forecasts of the operating performance;
- Intangible assets owned by the company

Considering the above, we have carried out the valuation of the companies and suggested a share exchange ratio for the purpose of the proposed amalgamation on the basis of fair value of the equity shares of the Transferor and Transferee Company.

This report and the information contained herein is absolutely confidential. It is intended only for the sole use and information of the Companies and only in connection with the Proposed Merger including for the purpose of obtaining regulatory approvals/ as required under applicable laws of India/ for the Proposed Merger. We understand that the Companies may be required to submit this report to judicial/ regulatory or government authorities, stock exchanges, shareholders in connection with the Proposed Merger under applicable laws. We hereby consent to such disclosure of this report/ on the basis that we owe responsibility to only the Boards of Directors of the Companies that have engaged us/ under the terms of\our engagement/ and no other person; and that, to the fullest extent permitted by law, we accept no responsibility or liability to the shareholders of the Companies or any other party, in connection with this report. It is understood that this analysis does not represent a fairness opinion. The results of our computation and our report cannot be used or relied by the Companies for any other purpose or by any other party for any purpose whatsoever. We are not responsible to any other person / party for any decision of such person / party based on this report. Any person / party intending to provide finance / invest in the shares / businesses of the Companies or their holding company / subsidiaries / associates / investee companies/ if any, shall do so after seeking their own professional advice and after carrying out their own due diligence procedures to ensure that they are making an informed decision. It is hereby notified that reproduction, copying or otherwise quoting of this report or any part thereof, other than for the aforementioned purpose, is not permitted.

This report is subject to the scope, assumptions, exclusions, limitations and disclaimers detailed hereinafter. As such, the report is to be read in totality, and not in parts/ in conjunction with the relevant documents referred to therein.

NEKKANTI SRINIVASU & CO., Chartered Accountants FRN: 008801S HYDERABAD

For determining the share exchange ratio, we have carried out the valuation of equity shares on the basis of information available as on the appointed date i.e. April 1, 2016 and also the information available till the date of furnishing this report which has bearing on the valuation of equity shares of the company.

Hence, the relevant date of valuation and share exchange ratio is 1st April 2016, to reflect the fair valuation of the Equity Shares of Transferor and Transferee Company. To arrive at the fair value of equity shares of companies and to determine the share exchange ratio of the Equity Shares we have relied upon the facts and figures, market data and other information of the two companies as on appointed date of amalgamation i.e. 1st April 2016.

SOURCES OF INFORMATION

The sources of information, which have been furnished to us by the managements of the Companies, are as under:

1. Salient features of the Proposed Merger
2. Background of the Companies.
3. Memorandum of Articles and Articles of Association of the Companies.
4. Audited Financial Statements of the Companies for the year ended March 2016, 2015, 2014, 2013.
5. Projected profitability statements, projected balance sheets of WIKI KIDS LIMITED for the years 2016-17 to 2020-21
6. Other relevant details such as history of the Companies, its promoters, shareholding pattern etc.
7. Past & present activities, future plans & prospects, other relevant information of Transferee and Transferor Company.
8. India E-Learning Market Outlook to 2022 by RNCOS Industry Research Solutions, Noida
9. To aid us in our analysis, we consulted publicly available sources of information. Numerous financial publications and databases were consulted including data and information from BSE, MCA, IBEF and Capitaline, VC Circle, Yourstory etc

STATEMENT OF ASSUMPTIONS AND LIMITING CONDITIONS

The primary assumptions and limiting conditions pertaining to the estimate conclusion(s) stated in the detailed Valuation report are summarized below. Other assumptions are cited elsewhere in the report.

1) The conclusion arrived at herein is valid only for the stated purpose as of the date of the valuation (i.e. April 1, 2016).

2) The valuation report date is 22/08/2016.

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3) Our compensation for completing this assignment is fee-based and is not contingent upon the development or reporting of a predetermined or direction in that favors the cause of the client, the outcome of the valuation, the amount of the opinion, the attainment of a stipulated result, or the occurrence of a subsequent event directly related to the intended use of this appraisal.

4) We have performed a valuation engagement and present our detailed report in conformity with the **"Business Valuation Practice Standard" (BVPS)** issued by the **Institute of Chartered Accountants of India (ICAI)**. BVPS sets out that the objective of a valuation engagement is "to express an unambiguous opinion as to the business, business ownership interest, security or intangible asset, which opinion is supported by all procedures that the appraiser deems to be relevant to the valuation." Also according to the Standard in a valuation engagement the valuer can apply valuation approaches or methods deemed in the analyst's professional judgment to be appropriate under the circumstances. In a valuation engagement the conclusion is expressed as either a single amount or a range.

5) The valuation of the business is based on various assumptions made by the respective companies relating to the operations of their businesses. Any change in these assumptions could have an impact on the valuation.

6) We have not made an appraisal or independent valuation of any of the assets or liabilities of any of the Companies and have not conducted an audit or due diligence.

7) Financial statements and other related information provided by WIKI KIDS LIMITED (Transferor Company), AVANTEL LIMITED (Transferee Company) or their representatives, in the course of this engagement, have been accepted without any verification as fully and correctly reflecting the enterprise's business conditions and operating results for the respective periods, except as specifically noted herein. We have not audited, reviewed, or compiled the financial information provided to us and accordingly, we express no audit opinion or any other form of assurance on this information.

8) Public information and industry & statistical information have been obtained from the sources we believe to be reliable. However, we make no representation as to the accuracy or completeness of such information and have performed no procedures to corroborate the information.

9) We do not provide assurance on the achievability of the results forecasted by Transferor Company and Transferee Company because events and circumstances frequently do not occur as expected, differences between actual and expected results may be material, and achievement of the forecasted results is dependent on actions, plans, and strategies of management.

10) The conclusion arrived at in the valuation report is based on the assumption that the current level of management expertise and effectiveness would continue to be maintained and that

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the character and integrity of the enterprise through any sale, reorganization, exchange, or diminution of the owners' participation would not be materially or significantly changed. The valuation report and the conclusion arrived at therein are for the exclusive use of our client for the sole and specific purposes as noted therein. They may not be used for any other purpose or by any other party for any purpose whatsoever. Furthermore, the valuation report and conclusion should not be construed by the reader of report to be an investment advice in any manner what so ever. The conclusion represents the considered opinion of us based on information furnished to us by **AVANTEL LIMITED** (Transferee Company), **WIKI KIDS LIMIED** (Transferor Company).

11) No future services regarding the subject matter of this report, including but not limited to testimony or attendance in court, shall be provided by **Nekkanti Srinivasu & Co.,** Chartered Accountants, unless previous arrangements in this regard have been made in writing.

12) The prospective financial information approved by management has been used in our work. We have not examined or compiled the prospective financial information and therefore do not express an audit opinion or any other form of assurance on the prospective financial information or the related assumptions. Events and circumstances frequently do not occur as expected and there will be usually differences between prospective financial information and actual results, and those differences may be material.

13) We have conducted interviews with the management of **AVANTEL LIMITED** (Transferee Company) and with the management of **WIKI KIDS LIMIED** (Transferor Company), concerning the past, present, and prospective operating results of the respective companies in the process of validation of information and assumptions made in respect of the financial information provided to us.

14) Except as noted, we have relied on the representations of the owners, management and other third parties concerning the value and useful condition of all equipment's, intangibles, intellectual properties used in the business, and any other assets or liabilities, except as specifically stated to the contrary in this report. We have not attempted to confirm whether all assets of the business are free and clear of liens and encumbrances or that the entity has good title to all assets.

15) The approaches and methodologies used in our work did not comprise an examination in accordance with generally accepted accounting principles, the objective of which is an expression of an opinion regarding the fair presentation of financial statements or other financial information, whether historical or prospective, presented in accordance with generally accepted accounting principles. We express no opinion and accept no responsibility for the accuracy and completeness of the financial information or other data provided to us by others. We assume that the financial and other information provided to us is accurate and complete, and we have relied on this information in performing our valuation.

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16) The valuation may not be used in conjunction with any other consideration or study. The conclusions stated in the valuation report are based on the program of utilization described in the report and may not be separated into parts. The report was prepared solely for the purpose, function, and party so identified in the report.

17) Unless otherwise stated in the report, the valuation of the business is not considered or incorporated the potential economic gain or loss resulting from contingent assets, liabilities, or events existing as of the valuation date.

18) During the course of the valuation, we have considered information provided by respective company's managements and other parties. We believe these sources to be reliable, but no further responsibility is assumed for their accuracy.

19) Any projections of future events described in this report represent the general expectancy concerning such events as on the valuation date. These future events may or may not occur as anticipated, and actual operating results may vary from those described in our report.

20) We have no responsibility or obligation to update this report for events or circumstances occurring subsequent to the date of this report.

21) Our valuation judgment, shown herein, pertains only to the subject business the stated Approach (fair), at the stated valuation date, and only for the stated purpose.

22) The various estimates presented in this report apply to the valuation report only and may not be used out of the context presented herein.

23) Our report will not be used for financing or included in a private placement or other public documents and may not be relied upon by any third parties.

24) The report assumes all required licenses, certificates of occupancy, consents, or legislative or administrative authority from any local, state, or national government or private entity or organization have been or can be obtained or reviewed for any use on which the opinion contained in the report is based.

25) We have no financial interest or contemplated financial interest in the companies that are the subject of this report.

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SHARE CAPITAL DETAILS OF THE COMPANIES

CAPITAL STRUCTURE OF AVANTEL LIMITED AS ON APRIL 1, 2016:

Particulars	Amount (in Rs.)
Authorized Share Capital	
70,00,000 Equity Shares of Rs.10/- each	7,00,00,000
Issued, Subscribed and Paid Up Share Capital	
40,54,493 Equity Shares of Rs.10/- each- 4,05,44,930	4,05,44,930
Add: Forfeited shares (Amount originally paid up) – 6000	6,000
Total	4,05,50,930

SHAREHOLDING PATTERN ON 1st April, 2016:

Name of shareholder	Total No. of shares held	Shareholding as a % of total No. of shares
Promoter and Promoters Group		
Dr. Abburi Vidyasagar	8,06,720	19.90
Abburi Sailaja	2,22,479	5.49
Abburi Sidhartha Sagar	2,74,000	6.76
Abburi Sarada	2,19,449	5.41
AbburiVenkateswara Rao	36,620	0.90
Sub Total	**15,59,268**	**38.46**
Held by PUBLIC	**24,95,225**	**61.54**
Total	40,54,493	100.00

CAPITAL STRUCTURE OF WIKI KIDS LIMITED AS ON APRIL 1ST, 2016

Particulars	Amount (in Rs.)
Authorized Share Capital	
20,00,000 Equity Shares of Rs.10/- each	2,00,00,000
Issued, Subscribed and Paid Up Share Capital	
11,70,000 Equity Shares of Rs.10/- each	1,17,00,000

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Share holding Pattern as on 1st April 2016

Sl No	Name of the shareholder	No. of Equity shares	Percentage
1	Dr. Abburi Vidyasagar	7,79,300	66.61%
2	Abburi Siddhartha Sagar	3,10,000	26.50%
3	Abburi Sarada	40,100	3.43%
4	Abburi Sailaja	40,000	3.42%
5	N Srinivasa Rao	100	0.01%
6	P Balabhaskara Rao	100	0.01%
7	K Pushpa Bharathi	100	0.01%
8	S Balakrishnan	100	0.01%
9	K Ramesh	100	0.01%
10	M Venkat Rao	100	0.01%
	Total	**11,70,000**	**100.00**

APPROACH - BASIS OF AMALGAMATION

The Management of the Transferor and Transferee Companies are considering for amalgamation of the companies. The proposed amalgamation of WIKI KIDS LIMITED, ('Transferor Company') with AVANTEL LIMITED (Transferee Company) as envisaged in the Scheme, pursuant to Sections 391 to 394 and other relevant provisions of the Companies Act, 1956 and / or Sections 230 to 233 and other relevant provisions of the Companies Act, 2013, to the extent applicable, is driven by the motive of consolidation of businesses into one company to obtain the synergy benefits and other ancillary benefits.

VALUATION METHODOLOGY

There are several commonly used and accepted methods for determining the value of shares / businesses, which have been considered in the present case, to arrive at the Fair Equity Share Exchange Ratio for the purpose of the Proposed Merger to the extent relevant and applicable, including:

1. Net Asset Value method,
2. Comparable Companies' Multiples method / Earnings Capitalisation Value method,
3. Value based on market quotes as available from recognised stock exchanges,
4. Discounted Cash Flows method.

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It should be understood that the valuation of any company or its assets is inherently subjective and is subject to uncertainties and contingencies, all of which are difficult to predict and are beyond our control. In performing our analysis, we made assumptions with respect to industry performance and general business and economic conditions/ many of which are beyond the control of the companies. In addition/ this valuation will fluctuate with changes in prevailing market conditions, the conditions and prospects/ financial and otherwise/ of the companies / businesses/ and other factors which generally influence the valuation of companies and their assets.

The application of any particular method of valuation depends on the purpose for which the valuation is done. Although different values may exist for different purposes, it cannot be too strongly emphasized that a valuer can only arrive at one value for one purpose. Our choice of methodology of valuation has been arrived at using usual and conventional methodologies adopted for transactions of a similar nature and our reasonable judgment/ in an independent and bona fide manner based on our previous experience of assignments of a similar nature.

METHODS	RELEVANCE
Net Asset Value Method	❖ Book / replacement / realizable value of Net Assets. ❖ Relevant in the case of liquidation of a company or in the case of a company where the earning potential of a company is not getting captured appropriately under the income / market approach. ❖ It is also relevant for evaluating surplus / non-operational assets and contingent / off balance sheet liabilities. ❖ The present valuation is on a going concern basis with no intention to dispose off operating assets and having regards to diverse nature of businesses of the companies, we havenot considered it appropriate to apply this method in the present case for arriving at the value of the companies.
Comparable Companies Multiples Method (CCM)	❖ Applying derived valuation multiples of comparable listed companies to the maintainable earnings of the subject company. ❖ In case of Avantel Limited being a listed company we faced difficulty in finding listed exactly comparable companies. ❖ Generally past profits would be a reliable indicator for determining maintainable profits. However, in the case of Wiki Kids Limited, the Company is in development phase. Considering the same, one will have to entirely rely on the forecasts to determine the maintainable profits. In such circumstances, we have considered it appropriate to apply DCF as a primary method of valuation as it takes in to account the principle of time value of money and the management approved forecast, and not to apply the CCM method in the present case. ***Hence in this case it is inappropriate to value the company on CCM method.***

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Value based on market quotes as available from recognised stock exchange	❖ The market price of an equity share as quoted on a stock exchange is normally considered as the value of the equity shares of that company where such quotations are arising from the shares being regularly and freely traded in/ subject to the element of speculative support that may be inbuilt in the value of the shares. ❖ But there could be situations where the value of the share as quoted on stock market would not be regarded as a proper index of the fair value of the share especially here the market values are fluctuating in a volatile capital market. Further, in the case of a merger/ where there is a question of evaluating the shares of one company against those of another/ the volume of transactions and the number of shares available for trading on the stock exchange over a reasonable period would have to be of a comparable standard. ❖ In the present case Avantel Limited is listed but Wiki Kids Limited is not listed. In this case we have deemed it appropriate to value shares of Avantel Limited on basis of ***Market Price of Equity Share on Bombay Stock Exchange in present case.***
Discounted Cash Flow Method (DCF)	❖ Most scientific – considers the time value of company and the cash outflows including working capital and capital expenditure required for increased levels of business forecasted. ❖ In case of Wiki Kids Limited we have considered relevant and appropriate which are in the early phase of their operations and where the valuation is carried out on a controlling basis as in the present case, as in the present case. ***Hence, applied and considered in the present case.***

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BASIS OF FAIR EQUITY SHARE EXCHANGE RATIO

VALUATION OF EQUITY SHARES OF **AVANTEL LIMITED,** TRANSFEREE COMPANY

We have considered **Market Price Method** for the purpose of determining the Fair Value per Equity Share of **AVANTEL LIMITED (Transferee Company)** based on the following:

The Equity Shares of AVANTEL LIMITED are listed on Bombay Stock Exchange (BSE Code: 532406).

For the purpose of determining the Fair Value per each Equity Share of **Transferee Company under the Market Price Method,** we have considered the **Higher** of the following:

Sl.	Method	Price Per Share (In Rs.)
A	The average of the weekly high and low of the [volume weighted average price] of the equity shares during last 26 weeks.	123.98
B	The average of the weekly high and low of the [volume weighted average prices] of the equity shares during the two weeks	115.30
C	Fair Value Per Share (In Rs.) (HIGHER OF A or B)	123.98

As per the above computation, in our opinion for the purpose of determining the share exchange ratio, the fair value of **Rs. 123.98/-** per equity share of **AVANTEL LIMITED (Transferee Company)** can be considered as appropriate.

NEKKANTI SRINIVASU & CO.
Chartered Accountants
FRN: 008801S
HYDERABAD

VALUATION OF EQUITY SHARES OF **WIKI KIDS LIMITED**, TRANSFEROR COMPANY

Wiki Kids Limited has developed its E – Learning portal for K-8 to K-12 Segment called "**Wonderwhiz Kids**" and the portal is poised to commence its commercial operations shortly to generate revenues and cash flows from student subscriptions and institute subscriptions. Since, the company is expecting the future revenues and cash flows, we considered to apply **Discounted Cash flow method (DCF)** as appropriate method for valuation of the business and equity shares of Wiki Kids Limited.

The value of Wiki Kids Limited under DCF Method is **Rs.501.80 Lakhs** which is depicted below and the projected financial statements along with evaluation of underlying assumptions.

Computation of Value of Equity Shares of Wiki Kids Limited under DCF approach:

Particulars	Amount in INR
NPV of Explicit Period	93.99
Present Value of Perpetuity	407.80
Equity Value of Wiki Kids Limited	**501.80**
No of Equity Shares	11.70
Value per Equity Share	**42.89**

As per the above computations, in our opinion for the purpose of determining the share exchange ratio, the fair value of **Rs.42.89/-** per each equity share of **WIKI KIDS LIMITED (Transferor Company)** can be considered as appropriate.

NEKKANTI SRINIVASU & CO. Chartered Accountants FRN: 008801S HYDERABAD

NEKKANTI SRINIVASU & CO.,
Chartered Accountants
604, Kanchanjunga Apts., 'D' Block,
Aditya Enclave, Ameerpet, Hyderabad - 500 038.

Phone : 9391005421
Cell : 9848326959
Telefax : 040-23734496
E-mail : srinivasun@yahoo.com
srinivasun@rediffmail.com
casrinivasun@gmail.com

SHARE EXCHANGE RATIO

Particulars	AVANTEL LIMITED	WIKI KIDS LIMITED
	(Transferee Company)	*(Transferor Company')*
Fair Value as per Market Price Method (per share in Rs.)	123.98	-
Fair Value as per DCF Method (per share in Rs.)	-	42.89
Share Exchange Ratio	1	2.89

On the basis of the aforesaid computations, the share exchange ratio between WIKI KIDS LIMITED, ('Transferor Company'), and AVANTEL LIMITED (Transferee Company) for proposed amalgamation is arrived at **2.89:1** i.e. AVANTEL LIMITED shall issue one equity share for every **2.89** Equity Shares held in WIKI KIDS LIMITED.

For Nekkanti Srinivasu& Co.,
Chartered Accountants
FRN.NO. 008801S

Nekkanti Srinivasu
Partner
M.No.209453

Date : 22/08/2016
Place: Hyderabad

NEKKANTI SRINIVASU & CO. Chartered Accountants FRN: 008801S HYDERABAD

MARK
CORPORATE ADVISORS

STRICTLY PRIVATE & CONFIDENTIAL

30th August, 2016

To,
The Board of Directors,
Avantel Limited
Plot No. 47/P, Sy. No. 141,
APIIC Industrial Park, Gambheeram (V),
Anandpuram (M), Visakapatnam- 531163
Andhra Pradesh

Dear Sir(s),

This has reference to the request made by the management of Avantel Limited (hereinafter referred to as **"Avantel"**). The Board of Directors of Avantel, in their Board Meeting held on August 11, 2016, has considered and approved the proposal to amalgamate Wiki Kids Limited into Avantel and also constituted the "Amalgamation Committee". The Amalgamation Committee has appointed us on August 16, 2016 to issue Fairness Opinion Certificate in connection with the valuation exercise being carried out by M/s. Nekkanti Srinivasu & Co., Chartered Accountants (hereinafter referred to as **"the Valuer"**) for recommending Equity Share Exchange Ratio for the Proposed Merger of Wiki Kids Limited (hereinafter referred to as **"Wiki"**) with Avantel with effect from the Appointed Date i.e. April 01, 2016.

I. PURPOSE OF VALUATION

1.1 The Board of Directors of both the Companies have considered proposal for the Merger of Wiki with Avantel.

1.2 In this regard, M/s. Nekkanti Srinivasu & Co., Chartered Accountants were appointed to carry out the valuation with a view to recommend an exchange ratio of shares in the event of Merger of Wiki with Avantel and determination of Equity shares to be issued by Avantel to the Shareholders of Wiki.

1.3 The information contained herein and our certificate is confidential. It is intended only for the sole use of captioned purpose including for the purpose of obtaining requisite approvals as per SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

II. SOURCE OF INFORMATION

For the purpose of the valuation, we have relied upon the following source of information provided by the management of the Companies:

(i) Background of Wiki and Avantel.

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404/1, The Summit Business Bay, Sant Janabai Road, (Service Lane), Off. W. E. Highway, Vile Parle (E), Mumbai - 400 057
Tele : +91 22 2612 3207 Fax : +91 22 2612 3208 Web : www.markcorporateadvisors.com E-mail : info@markcorporateadvisors.com

(ii) Memorandum and Articles of Association of Wiki and Avantel.

(iii) The Projected Profitability Statements and Projected Balance Sheets for the Financial Years 2016-2017 to 2020-2021 of Wiki.

(iv) Audited Financial Statements for last 3 years i.e. as on 31st March, 2016, 2015 and 2014 for Wiki and Avantel;

(v) Other relevant details such as history of the Company, its promoters, shareholding pattern etc.

(vi) Past & present activities, future plans & prospects, other relevant information of Wiki and Avantel

(vii) India E-Learning Market Outlook to 2022 by RNCOS Industry Research Solutions, Noida

III. EXCLUSIONS AND LIMITATIONS

3.1 Conclusions reached by us are dependent on the information provided to us being complete & accurate in all material respects. Our scope of work does not enable us to accept responsibility for the accuracy and completeness of the information provided to us. The scope of our assignment did not involve us performing audit tests for the purpose of expressing an opinion on the fairness or accuracy of any financial or analytical information used during the course of our work. We have not performed any audit, review or examinations of any of the historical or prospective information used and, therefore, do not express any opinion with regard to the same. In addition, we do not take any responsibility for any changes in the information used for any reason, which may occur subsequent to the date of our certificate.

3.2 This certificate is prepared with a limited purpose/scope as identified/stated earlier and will be confidential being for use only to whom it is issued. It must not be copied, disclosed or circulated in any correspondence or discussions with any person, except to whom it is issued and to those who are involved in this transaction and for various approvals for this transaction.

IV. VALUATION METHODOLOGY ADOPTED BY THE VALUER

In arriving at the exchange ratio of the equity shares for the merger of the Wiki with Avantel we have determined the values independently but on a relative basis. We have considered the methods relevant and applicable, which included:

1) **Market Approach:**
   a) Market Price Method

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2) **Income Approach:**
   a) Discounted Cash Flow

1) **Market Approach:**

   a) **Market Price Method:**

The valuation is done on the basis of share prices of a company quoted on the stock exchange as Quoted prices of the company on the stock exchange are considered to be indicative of the perception of investors operating under free market conditions and generally, common stocks are purchased in light of anticipated stock price appreciation, which, in turn, is strongly influenced by expectations about a company's cash flow capacity. In the present case the shares of Avantel are listed on BSE Limited and the trading transactions of the equity shares during last 6 months into the following 2 Alternatives has been considered under this method. The Fair value of Avantel is arrived based on the pricing formula prescribed under Chapter VII of SEBI (Issue of Capital and Disclosure Requirements) Regulations, 2009 which shall not be less than higher of the following:

Alternative 1: Average of weekly high & low of the volume weighted average price (VWAP) of the equity shares quoted on the BSE Limited during the last twenty six weeks.

Alternative 2: Average of weekly high & low of the volume weighted average price (VWAP) of the equity shares quoted on the BSE Limited during the last two weeks.

This method is not considered appropriate to value Wiki as it is an unlisted company.

2) **Income Approach:**

   a) **Discounted Cash Flow Method:**

The discounted cash flow method has also been used to value the equity of the Wiki.

The DCF method expresses the present value of the business as a function of its future cash earnings capacity. This methodology works on the premise that the value of a business is measured in terms of future cash flow streams, discounted to the present time at an appropriate discount rate. The valuation under the DCF method depends upon the projections of the future cash flows and the selection of the appropriate discount factor. The DCF methodology is considered to be the most appropriate basis for determining the future earning capability of a business.
Calculation of value under the DCF method involves estimation of future cash flows for explicit period, estimation of continuation value and discounting of cash flows using appropriate discounting factor.

$$\textbf{Value of the Business} = \sum_{t=1}^{t=n} \frac{\text{Expected cash flow}}{(1+r)^t} + \frac{\text{Terminal value}}{(1+r)^n}$$

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ESTIMATION OF CONTINUATION VALUE

Under the going concern premise the cash flows are expected to be derived by the business entity beyond explicit period and will grow at constant rate forever. Based on the premise the terminal (continuation) value of the business can be estimated as

$$TV = \frac{FCFEt + 1}{(ke\text{-}g)}$$

Where, *FCFE t+1* refers to free cash flow for the last year of the projected period.
Ke = cost of equity and *g* = expected growth rate

If the equity is being valued the terminal value of equity can be arrived by

$$\text{Terminal value} = \frac{\text{Cash flow to the Equity}_{t+1}}{Ke\text{-}g}$$

ESTIMATION OF DISCOUNTING RATE (KE)

The cost of equity in turn is determined using the MCAPM model i.e. Modified Capital Asset Pricing Model. The formula for calculating cost of equity under this model is:

$$Ke = K_{rf} + \beta (K_m - K_{rf}) + a$$

Where

- K_e = expected rate of return on equity
- K_{rf} = risk free rate on bonds
- K_m = expected rate of return on the market
- K_m- K_{rf} = equity risk premium
- β = coefficient of firms' systematic risk

a = additional risk premium

Since DCF model is predominantly used to value the business, the same has been considered appropriate while arriving at the valuation of Wiki.

V. CONCLUSION

5.1. We have reviewed the methodology as mentioned above adopted by the Valuer for arriving at the fair valuation of the equity shares of Companies and also reviewed the working and underlining assumptions adopted to arrive at the values under each of the above approaches, for the purposes of recommending a ratio of entitlement / exchange.

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5.2. On the basis of the foregoing points, we are of the opinion that the valuation made by M/s. Nekkanti Srinivasu & Co., Chartered Accountants is fair & reasonable for the proposed Share Exchange Ratio of 1 Equity share of Avantel Limited for every 2.89 Equity shares held in Wiki Kids Limited.

Thanking you,

For Mark Corporate Advisors Private Limited

Rajendra Kanoongo
Jt. Managing Director
Place: Mumbai

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ISO 9001:2008

avantel
connect • create • conserve

To
The Manager,
BSE Limited,
P. J. Towers, Dalal Street, Fort,
Mumbai – 400001

Dear Sir/Madam,

Sub: Filing of Complaints Report pursuant to clause 6 of Para I (A) of Annexure – I to the SEBI Circular No. CIR/CFD/CMD/16/2015 dated 30th November, 2015.

Ref: Please refer to the Application filed by us under Regulation 37 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and circulars issued thereunder for obtaining the Observation Letter / No Objection Certificate from BSE Limited (Designated Stock Exchange) to the proposed Scheme of Amalgamation between Avantel Limited and Wiki Kids Limited and their respective Shareholders and Creditors. (Case No. 41735 and BSE Scrip code 532406)

With reference to the above and further to the application made by us for obtaining the Observation Letter from BSE Limited, to the proposed Scheme of Amalgamation, we hereby submit the Complaints Report for the period beginning from 21st day of September, 2016 and ending on 12th day of October, 2016, marked as **"Annexure III"**.

The Complaints Report is uploaded on the website of the Company. We request you to take the Complaints Report on record and oblige.

We further request you to provide us with the "Observation Letter / No Objection Certificate" to the Scheme, as per your earliest convenience so as to enable us to proceed further in the matter.

We shall be pleased to provide any further clarification / information in the said regard.

Thanking you,
Yours Faithfully,

FOR AVANTEL LIMITED

LOKESH AGARWAL
COMPANY SECRETARY AND COMPLIANCE OFFICER

Date: 13.10.2016
Place: Hyderabad

Avantel Limited

Registered Office
Plot No : 47/P, APIIC Industrial Park
Gambheeram (V), Anandapuram (M)
Visakhapatnam - 531 163. A.P.
Tel : +91-891-6698000
Fax : +91-891-6698004

Corporate Office
Plot No. 16, Sector-III, HUDA Techno Enclave
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Hyderabad - 500 081. India
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Fax : +91-40-6630 5004

CIN - L72200AP1990PLC011334

www.avantel.in
info@avantel.in

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COMPLAINTS REPORT **ANNEXURE III**

Details of Complaints, if any, received from 21st day of September, 2016 to 12th day of October, 2016, for the proposed Scheme of Amalgamation between Avantel Limited and Wiki Kids Limited and their respective Shareholders and Creditors.

PART A

Sl. No.	Particulars	Number
1.	Number of complaints received directly	**Nil**
2.	Number of complaints forwarded by Stock Exchange	**Nil**
3.	Total Number of complaints/comments received (1+2)	**Nil**
4.	Number of complaints resolved	**Nil**
5.	Number of complaints pending	**Nil**

PART B

Sl. No.	Name of complainant	Date of complaint	Status (Resolved/Pending)
1.	Not Applicable	Not Applicable	Not Applicable
2.	Not Applicable	Not Applicable	Not Applicable
3.	Not Applicable	Not Applicable	Not Applicable

FOR AVANTEL LIMITED

LOKESH AGARWAL
COMPANY SECRETARY

Date: 13.10.2016
Place: Hyderabad

Avantel Limited
Registered Office
Plot No : 47/P, APIIC Industrial Park
Gambheeram (V), Anandapuram (M)
Visakhapatnam - 531 163. A.P.
Tel : +91-891-6698000
Fax : +91-891-6698004

Corporate Office
Plot No. 16, Sector-III, HUDA Techno Enclave
Opp. K. Raheja IT Park, Madhapur
Hyderabad - 500 081. India
Tel : +91-40-6630 5000
Fax : +91-40-6630 5004

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EXPERIENCE THE NEW

DCS/AMAL/KS/IP/614 /2016-17
November 16, 2016

The Company Secretary
Avantel Ltd.
Plot No. 47/P, Sy. No. 141, APIIC Industrial Park,
Gambheeram (V), Anandpuram (M),
Visakapatnam, Andhra Pradesh, 531163.

Sir/Madam,

Sub: Observation letter regarding the Draft Scheme of Amalgamation between Avantel Ltd. and Wiki Kids Ltd.

We are in receipt of the Draft Scheme of Amalgamation between Avantel Ltd. and Wiki Kids Ltd.

As required under SEBI Circular No. CIR/CFD/CMD/16/2015 dated November 30, 2015; SEBI vide its letter dated November 11, 2016 has inter alia given the following comment(s) on the draft scheme of arrangement:

- ***"Company shall ensure that additional information, if any, submitted by the Company, after filing the scheme with the stock exchange, is displayed from the date of receipt of this letter on the website of the listed company"***
- ***"Company shall duly comply with various provisions of the Circulars."***

Accordingly, based on aforesaid comment offered by SEBI, the company is hereby advised:

- To provide additional information, if any, (as stated above) along with various documents to the Exchange for further dissemination on Exchange website.
- To ensure that additional information, if any, (as stated aforesaid) along with various documents are disseminated on their (company) website.
- To duly comply with various provisions of the circulars.

In light of the above, we hereby advise that we have no adverse observations with limited reference to those matters having a bearing on listing/de-listing/continuous listing requirements within the provisions of Listing Agreement, so as to enable the company to file the scheme with Hon'ble High Court.

Further, pursuant to the above SEBI circulars, upon sanction of the Scheme by the Hon'ble High Court, the listed company shall submit to the stock exchange the following:

a. Copy of the High Court approved Scheme;
b. Result of voting by shareholders for approving the Scheme;
c. Statement explaining changes, if any, and reasons for such changes carried out in the Approved Scheme vis-à-vis the Draft Scheme;
d. Copy of the observation letter issued by all the Stock Exchanges where Company is listed.
e. Status of compliance with the Observation Letter/s of the stock exchanges;
f. The application seeking exemption from Rule 19(2)(b) of SCRR, 1957, wherever applicable; and
g. Complaints Report as per Annexure II of this Circular.
h. Any other document/disclosure as informed by the Exchange.

The Exchange reserves its right to withdraw its 'No adverse observation' at any stage if the information submitted to the Exchange is found to be incomplete / incorrect / misleading / false or for any contravention of Rules, Bye-laws and Regulations of the Exchange, Listing Agreement, Guidelines/Regulations issued by statutory authorities.

Please note that the aforesaid observations does not preclude the Company from complying with any other requirements.

Yours faithfully,

Nitin Pujari
Manager

AVANTEL LIMITED
CIN: L72200AP1990PLC011334
Regd Off: Sy No.141,Plot No.47/P, APIIC Industrial Park, Gambheeram(V), Anandapuram (M), Vishakhapatnam AP 531163
Email: info@avantel.in, website: www.avantel.in

POSTAL BALLOT FORM

Sl. No.:

1. Name(s) of shareholder(s) :
   Joint Holder(S), if any: (in block letter)

2. Registered Address of the sole/First named :
   Shareholders / Beneficial owner

3. Registered Folio No./DPID-Client ID* :
   (*Applicable to members holding Share in Dematerialized form)

4. No. of Shares held :

I/We hereby exercise my/our vote in respect of the Resolution to be passed through Postal Ballot for the business stated in the notice of the Postal Ballot and E-voting dated 17th December, 2016, by conveying my/our assent or dissent to the said Resolution by placing the tick (√) mark at the appropriate box below:

Sl. No.	Description of the Resolution	No. of Shares	I/We assent to the Resolution (FOR)	I/We dissent to the Resolution (AGAINST)
1.	Approval to the Scheme of Amalgamation between Avantel Limited (Transferee Company) and Wiki Kids Limited (Transferor Company) and their respective Shareholders and Creditors			

Place:
Date:

____
(Signature of the Shareholder)

NOTE: PLEASE SEND THE DULY FILLED IN AND SIGNED POSTAL BALLOT FORM IN THE ENVELOPE ENCLOSED HEREWITH. THE LAST DATE OF RECEIPT OF POSTAL BALLOT FORM BY THE SCRUTINIZER IS 26TH JANUARY, 2017. PLEASE READ THE INSTRUCTIONS PRINTED BELOW BEFORE EXERCISING THE VOTE.

INSTRUCTIONS:

1. The relative Explanatory Statement setting out material facts is annexed hereto.

2. Pursuant to the provisions of Section 110 of the Companies Act, 2013 read with rule 22 of the Companies (Management and Administration) Rules, 2014, the assent or dissent of the Members in respect of the Resolution contained in the Postal Ballot Notice is being determined through Postal Ballot including facility of E-voting through M/s. Karvy Computershare Pvt. Ltd

3. The Board has appointed Mr. M B Suneel of M/s. P S Rao & Associates, Company Secretaries, Hyderabad, as the Scrutinizer for the purpose of conducting business through Postal Ballot under the Rules.

4. A member desiring to exercise vote by Postal Ballot may complete this Postal Ballot Form and send it directly to the Scrutinizer in the attached preprinted self-addressed envelope. No postage is required to be paid by the Shareholder as the prepaid self -addressed postal envelope is enclosed. Envelope containing Postal Ballots Forms, if deposited with the Company in person or, if sent by courier/ registered post at the expense of the registered Shareholder, shall also be accepted by the Company.

5. A (√) mark should be placed in the relevant box signifying assent/dissent for the resolution, as the case may be. Incomplete or unsigned Postal Ballots will be rejected. Tick in both the boxes would render your Ballot Form invalid. Please note that (X) mark or any other mark other than (√) in the box signifying assent or dissent shall be deemed as if no mark has been placed and the box is left blank.

6. Duly completed Postal Ballot Form should reach the Scrutinizer not later than 05:00 PM on 26th January, 2017. For this purpose, a self-addressed postage pre-paid envelope is enclosed herewith. Please note that any response received from the Shareholders after 05:00 PM on 26th January, 2017, shall be treated as if no response has come from a Shareholder in terms of Rule 22(12) of the Companies (Management and Administration) Rules, 2014. Accordingly, Shareholders are requested to send duly completed Postal Ballot Forms well before the above said date providing sufficient time for postal transit.

7. The Scrutinizer will submit his report to the Chairman of the Company upon completion of scrutiny, in a fair and transparent manner, of voting through Postal Ballot and E-voting but not later than 28th January, 2017.

8. The Chairman shall announce the results of Postal Ballot and E-voting on or before 28th January, 2017, at the Registered Office of the Company.

9. The Result of Postal Ballot and E-voting will be placed at the website of the Company at www.avantel.in for information of Members besides being communicating to the Stock Exchange where the shares of the Company are listed and traded.

10. This form should be completed and signed by the member as per the specimen signatures registered with the Company. In case of joint holdings, this form should be completed and signed (as per the Specimen Signature registered with the Company) by first named Shareholder and in his absence, by

the next named joint holder. In case the Form is signed by persons other than individual members, this form should be signed by an authorized signatory whose signature is already registered with the Company/Depository Participant.

11. In case of shares held by Companies, Trust, Societies etc., duly completed Postal Ballot Form should also be accompanied by a certified copy of the Board Resolution/Other Authority together with the attested specimen signatures of the duly authorized person exercising the voting by Postal Ballot.

12. If any extraneous paper is found in such envelop the same would not be considered by the Scrutinizer and would be destroyed.

13. There will be one Postal Ballot Form for every Folio/Client ID irrespective of the number of joint holders.

14. The Postal Ballot shall not be exercised by a Proxy.

15. Unsigned Postal Ballot form will be rejected.

16. Voting Rights shall be reckoned on the paid up value of shares registered in the name of the shareholders on 16th December, 2016, which has been taken as cut-off date for taking data of members for dispatch of the Notice.

17. The Scrutinizer's decision on the validity of the Postal Ballot shall be final.

If undelivered plesae return to:

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AVANTEL LIMITED

Registered Office :

CIN: L72200AP1990PLC011334

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